



ANALYSIS OF NON-PERFORMING ASSETS (NPAS) IN PUBLIC SECTOR BANK

A PROJECT SUBMITTED TO

University of Mumbai for partial completion of the

Diploma in **(Advanced Accountancy)** Degree in

Master of Commerce in Advanced Accountancy (M.Com.)

(As per NEP 2020)

Under the Faculty of Commerce

Submitted by

Anzeela Ahmed Ali Shaikh

M.Com Part II: Sem IV

(Advanced Accountancy)

Roll No : 24251730

Under the Guidance of

Dr. Poulami Sarkar.

LALA LAJPARAI COLLEGE OF COMMERCE & ECONOMICS

(AUTONOMOUS)

MAHALAXMI MUMBAI-34

For the

ACADEMIC YEAR: 2025-26

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LALA LAJPATRAI COLLEGE OF COMMERCE & ECONOMICS (AUTONOMOUS)

AFFILIATED TO UNIVERSITY OF MUMBAI
NAAC ACCREDITED - 'A' GRADE (CGPA-3.20)

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CERTIFICATE

This is to verify that Anzeela Ahmed Ali Shaikh has worked and duly completed her project work for the degree of Master in Commerce under the faculty of commerce in the subject of Advanced Accountancy and her project in entitled Analysis of Non-Performing Assets (NPAs) in Public Sector Bank under my supervision.

I further certify that the entire work has been done by the learner under my guidance and that no part of it had been submitted previously for any Degree or Diploma of any university.

It is her own work and facts reported by his/her are based on his/her personal finding and investigations.

Seal of the College

Signature of principal

Prof. Dr. Harmeet Kaur Bhasin

Signature of External Examiner

Signature of Internal Examiner

Date of Submission

Signature of M.Com Co-Ordinator Dr Rahul Shetty

DECLARATION BY LEARNER

I the undersigned **Anzeela Ahmed Ali Shaikh** hereby declare that the work embodied in this project work titled **Analysis of Non-Performing Assets (NPAs) in Public Sector Banks** forms my own contribution to the research work carried out under the guidance of **Dr. Poulami Sarkar** & is a result of my own research and has not been previously submitted to any other University for any other Degree/Diploma to this or any other University.

Wherever reference has been made to previous works of others, it has been clearly indicated as such and included in the bibliography.

I, here by further declare that all information of this document has been obtained and presented in accordance with academic rules and ethical conduct.

Name and Signature of the Learner

Certified by:

Name and Signature of the Guiding Teacher

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EXECUTIVE SUMMARY

The Indian banking industry, especially Public Sector Banks (PSBs), faces one of its toughest challenges in the form of non-performing assets (NPAs). A non-performing asset (NPA) is a loan or an advance made by a bank for which the principal and/or interest remain outstanding for over 90 days and loss of income and an increase in financial risk occurs. This paper is focused on the characteristics, underlying causes, consequences, and management of NPAs in Indian Public Sector Banks between 2021-2026.

The purpose of this research paper is to measure the degree of NPA in PSBs and its determinants and to appraise the outcomes for their income generation, cash flow and financial stability and to ascertain the effectiveness of recovery of loans under SARFAESI ACT and IBC in India. A comparison of certain PSB and private sector banks are also been made on credit quality.

Both primary and secondary data have been employed for this research. Secondary data include annual reports, various issues of the reports of Reserve Bank of India (RBI), various research papers and articles from reputed journals and other government and public-related reports. Primary data have been collected from the structured questionnaires to be distributed among selected banks officials and other relevant experts. Indicators used are GNPA, NNPA and Provision Coverage Ratio (PCR).

The results suggest that although the PSBs have considerably increased the efforts to reduce NPAs by strengthening the recovery procedures, tightening credit monitoring practices and through regulatory interventions, asset quality remains a concern. High NPAs affect banks' profitability negatively, constrain credit lending capacity, create higher provisioning expenses and damage investor confidence.

Key determinants include faulty appraisal system, economic recession, corporate defaults and sluggish recovery processes, among others. It can be concluded that management of NPAs is critical for sustainable financial sector operations. However, strengthening the credit assessment mechanisms, integrating advanced analytical tools, upgrading recovery methods, improving governance practices can certainly help mitigate future defaults. For Public Sector banks, there is a dire need to adhere to prudent credit disbursements, leverage digital technology in credit monitoring, and implement an early warning mechanism to avoid excessive accumulation of non-performing loans in the long-term to spur economic growth in a stable way.

CHAPTER I - INTRODUCTION

1.1 Meaning of Non-Performing Assets (NPAs)

Banking sector provides significant assistance for the country's growth by mobilizing the public and deploying their savings towards different ventures, generating economic growth and activity.

Unfortunately, NPAs have proven to be one of the critical threats against the banks today, adversely impacting their financial health and efficiency of operations. In the context of banking, Non-Performing Assets refers to the loans that cease to contribute to revenue for the bank. It also refers to assets in the bank's portfolio which can also include loans and advance, bonds, equities or other investments which become due for repayment and are not made on time, or are not performing up to the expectations for a considerable time, thus indicating the possible risk.

According to the directives of Reserve Bank of India (RBI), "an asset becomes non-performing when it ceases to generate income for the bank". In other words, an asset is called an NPA if the repayment for an loan or installment of principal is overdue by a certain period, which is above ninety days.

Classification of assets

Banks are required to classify the assets based on the period it remained non-performing so that transparency could be maintained:

1. Standard Assets : - assets that do not disclose any problems and are free from any risks than those typically involved in the normal line of business.
2. Sub -standard assets : - an asset classified as non performing that has remained in this status for less than or equal to 12 months.
3. Doubtful assets : - assets that remain in the sub - standard status for over 12 months.
4. Loss assets :- these assets in respect of which a loss has been identified by the bank or the auditors internal and external but the amounts have not been written off fully.



Causes of NPAs

- The reason behind the rise in NPAs include-
- Lack of credit appraisal and risk assessment,
- Economic Slowdown and Recession,
- Wilful Defaulters by Borrower,
- Bad Management & governance,
- Political interference in decisions making,
- delays in court for Recovery Procedures.
- Example- For example If state bank of India which is a public Sector Bank provide loans to a company and due to various reasons company is not paying loan installment for more than 90 days the loan is treated as Non- Performing Assets (NPAs).
- Conclusion- The sound Management of NPAs is crucial for sound financial position and efficient functioning of banks and the country's growth.

1.2 Vision and Mission of Public sector Banks(PSB)

Public Sector banks (PSBs) are financial institution owned by the government which are the most important institution in our nation to lead the process of development. It includes their vision and mission on various aspects like- economic growth, financial inclusion, social upliftment and technological enhancement etc. Vision Public Sector Banks envision to promote a banking system that will not only sustain economic development but also ensure equitable growth for all citizens.

1. Financial Inclusion:

The primary duty of the PSBs are to reduce the banking deficit. Whereas the private banks concentrate only on metro and the semi metro areas because the margin of profit is quite higher. PSBs' mandate to expand their reach and offer low cost account to every unbanked customer of the society through extensive branch networks in remote areas. "Bank Mitras (Business Correspondent)" have been deployed for last mile connectivity, who carry financial products of PSBs and serve the poor customers with basic banking, savings, account opening services at their doorstep. This strategy empowers the poor to get away from the cycle of poverty.

2. Economic Stability:

PSBs are considered as backbone of our economy as they play the role of development finance for our nation by channeling funds to priority sectors which includes: Agriculture (seasonal crop loan, tractor finance etc), SMEs (medium, small and micro enterprises as missing middle), infrastructure projects like highways, bridges, power plants etc which usually require longer gestation period and have a large financing requirements and hence would not attract many of private financiers.

3. Technological Advancement

PSBs are not just adopting Digitalisation but also at forefront of developing “digital-first banking solutions”. By leveraging the Digital India program, PSBs have made cutting-edge tools easily accessible to even the remotest corner of the country, ensuring digital inclusion. Unifying payments through Unified Payment Interface (UPI) ensures that even the smallest street vendor can transact digitally seamlessly and paperlessly. AI & analytics help banks in predicting credit risk and identifying fraud to maintain the integrity of the banking system. It is transforming a complicated banking procedure into a user friendly multilingual app.

4. Sustainable Development

Now a day PSBs are following ESG norms. The banks have come up with the strategy of "Green Banking" and the central bank policy ensures preferential treatment to eco-friendly sectors for financing (like solar, EV etc.) by providing loans at competitive rate and has also supported with incentives, it focus on Social Sustainability by ensure ethical business practices in operations and has invested in community based development projects for socio economic upliftment.

5. Customer Trust & Satisfaction

Customers view Public Sector banks as “safe heavens” for their savings, due to which PSBs retain the highest market share of domestic savings, a reflection of their trusted status. Their vision is to foster unwavering public trust and customer satisfaction by: Offering clear, transparent terms and conditions; Establishing a well-defined process for efficient grievance resolution; Safeguarding hard-earned money with the most robust cybersecurity measures and maintaining their unparalleled reliability.

Mission:

The mission of public sector banks is to provide efficient, reliable and accessible banking services in a financially prudent and stable manner.

1. Universal Accessibility and Affordability

The mission starts from the democratization of capital. PSBs aim to reduce the barrier to entry associated with private banking. Cost-Effective Services Through the provision of no-frills, zero-balance bank accounts, as well as affordable credit products, PSB ensure that financial instruments are no longer the preserve of the rich, but readily available utilities. Geographic Neutrality Their mission extends to every nook and cranny, as far-flung as a village in the mountains or a financial district. Providing “the last mile of economic connection” means even rural hinterlands receive equivalent banking facilities.

2. Prudential Financial Discipline

Central to the mission of PSB is a transition from “lending” to “quality lending.” o Asset Quality Management PSB focus on robust credit appraisal mechanisms ensuring loans are given only against sound and sustainable business models. O NPA Reduction With effective monitoring and early-warning systems, PSBs actively work towards minimisation of NPAs.

3. Excellence in Service Delivery

Modern PSBs are fast transcending their ‘bureaucratic’ image by espousing a Customer-Centric Approach. O Quality Standards It covers quick turnaround times on loan processing, as well as standardised operational protocols across all PSB branches. O Reliability When the market falters, the mission of PSB is to act as a “safe harbor” for domestic savings by ensuring government backed safety and clear operations.

4. Alignment with National Development

The mission of a PSB is inseparable from the overall development goals of the nation, a key distinction from private banks. O Policy Implementation Whether through the direct benefit transfer (DBT) schemes or those designed for specific sectors like women entrepreneurs, farmers or rural artisans, PSB remain a primary conduit of government policy execution. O Risk Management They strategically maintain a balanced portfolio which provides much needed financial support to high-risk/high-impact sectors critical for national development like renewable energy or rural infrastructure.

Focus Area	Objective
Risk Management	Protecting the balance sheet through sophisticated credit scoring and monitoring.
Social Responsibility	Prioritizing societal well-being over short-term quarterly profits.
Financial Stability	Maintaining healthy Capital Adequacy Ratios (CAR) to withstand economic shocks.

5. Innovation and Digital Evolution

The final pillar of the mission is an embracing of the Digital-First identity. Modern Practices Beyond traditional banking halls, PSB are incorporating cutting-edge tools like AI for better risk analysis and Blockchain for secure transaction methods. Digital Transformation With the ultimate aim of offering a “Phygital” (Physical + Digital) experience, even less digitally literate customers feel comfortable navigating modern digital banking solutions.

1.3 Selection & Relevance of the Problem

Selection of the Problem

NPAs problem is selected as the present problem of study because it's a serious challenge to Indian banks, especially public sector banks.

The reasons for selection of this problem are;

- Escalating NPAs over the year
- Impact on profit and performance of banks
- Weakness in credit appraisal and management systems.
- High proportion of loans in corporate sector
- Challenges from economic environment to repay loans



Importance of the Problem.

- Impact on Profitability : NPAs are the main cause of reduced interest income for the banks because it will not earn any interest on such loans. Banks also required to provide for NPAs, that results in the reduce of profit.

- **Impact on Liquidity :** Because of High level of NPAs banks unable to lent money and that will effect liquidity.
- **Impact on Economic Growth :** In a banking system banks play vital role in order to give loans. Due to NPAs this function of bank gets hindered and will also retard growth in other sector of the economy.
- **Risk and Stability:** High levels of NPAs is seen to be destabilising the banking sector.

Importance for Stakeholders:

Stakeholder	Importance
Investors	Assess risk and returns
Bank Management	Improve decision-making
Government	Maintain financial stability
Borrowers	Access better credit facilities

Brief profile of study area (Banking & Finance)

The subject matter of Non-Performing Assets (NPAs) is an overlap area of Financial Management and prudential operations in Banking. In this context, financial management functions as the strategically planned mobilisation, organisation and optimum utilisation of capital to attain the objectives of a firm, namely to enhance institutional value, without prejudice to the interests of various interested groups such as shareholders, employees, and lenders, which would then translate to shareholders.

In the area of Banking, the financial management function involves effective liquidity, profitability and safety measures. Credit management is an important aspect of banking which aims to identify potential borrowers of a high standard to the bank. Credit risk is defined as the probability of loss due to failure of borrower. Financial statement analysis is the process of assessing a firm's financial position and performance. Financial statement analysis generally comprises analysis of balance sheet, profit and loss account, cash flow statement and various

financial ratios and metrics for evaluating financial performance of a firm. PSBs (public sector banks) need to conform to the Prudential Norms-the "rule of the game" for safe and sound banking-enforced by the central banks such as The Reserve Bank of India (RBI)-that are meant to preserve the soundness of individual institutions and the stability of the financial system as a whole against risks from individual defaults.

The Banking Triad (The Conflict of Objectives)

Every bank manager has to face the \"Banking Triad\" when making a decision-a three way war between which there is a perpetual tension. They are:

Liquidity : Banks must satisfy their immediate obligations to depositors or any other financial institution on demand, such as withdrawing money from the bank. NPAs contribute to the amount of "dead capital" (assets that produce neither income nor liquidity) locked up in bank accounts, thus tying up money that banks should be lending to other customers. This hurts banks' overall liquidity.

Profitability : Financial managers of banks need to generate returns from its investments, such as making loans and investing in bonds. By failing to generate income from NPAs (Income Recognition), yet continuing to be exposed to operational costs, banks suffer a "double whammy," thus negatively affecting profits.

Safety : In many institutions, like banks, high degree of leverage is commonly employed. In essence, a bank is an institution highly reliant on leveraging, and thus even a moderate failure rate-say 5 percent to 10 percent on total assets-could result in bankruptcy. A bank is highly leveraged and a small negative deviation from expected values of credit risk may wipe out the equity.

Diagnostic Role of Financial Statement Analysis

In order to understand and evaluate the performance and health of the banks under study, Financial Statement analysis is the tool, that is used here. It is a detailed examination of the Balance Sheet and the Profit and Loss Account of banks in order to detect their financial strength and their weakness.

- Gross NPA (GNPA) : total value of loans that are not currently generating income.

- Net NPA (NNPA) : amount of loan defaults that the bank expects will not be repaid and so sets aside reserves for. $\text{GNPA} - \text{Provision for NPA} = \text{NNPA}$.
- Slippage Ratio : This Ratio indicates how new loans are turning into NPAs each year.

1.5 Relevance & Scope of the Study

This research is narrowly scoped to examine only the operations and finance of Public Sector Banks (PSBs) in India during the most significant period of five years from 2021-2026. Such an attempt captures the current environment of post-COVID-19 rebound along with a new digitally led credit monitoring process. The research seeks to uncover the root causes of non-performing assets (NPAs) of PSBs, assess the effectiveness of debt recovery mechanisms like the Insolvency and Bankruptcy Code (IBC), 2016 and SARFAESI Act, and finally to understand the impact of increasing government regulations on the overall health of PSBs.

This research adds value and relevance by connecting the academic field of Finance with the Indian banking sector on a large scale. For students and researchers of finance, the paper serves as an invaluable case study of how credit risk is assessed and handled and risk is mitigation in reality, a topic far from mundane textbook explanations. The study by thoroughly analyzing the issue of loan defaults and challenges to its recovery and remediation provides a practical, tangible insight into how banks function when loans go sour, teaching future finance practitioners the essential skill of ensuring asset quality while taking lending risks.

This research would prove equally useful to market participants and regulatory bodies alike. To investors, the findings will provide critical diagnostic insights enabling them to identify which PSBs are effectively deleveraging their balance sheets and which ones still bear underlying systemic risks.

Simultaneously, it offers regulatory bodies and policymakers the feedback they need, to effectively refine policy measures by pinpointing which specific regulations have performed well in curbing NPAs and to enhance the efficiency of the existing debt recovery framework and laws for future financial policies and regulations.

1.6 Brief Profile – Public Sector Banks

1) The Evolution and Definition Public sector Banks or PSBs as they are commonly known are the cornerstone of India's financial infrastructure. They can be described as any bank wherein more than 51 per cent stake is held by the Government of India. PSBs originated during the Nationalisation Act in 1969 and 1980 which transformed the entire outlook and purpose of banks from profit centres for a select few, to service providers of a mass. The major aim for which public sector banks have been created is to facilitate the easy availability of credit, an economy's lifeblood. Whereas the principle of a private bank remains Profit maximisation, the underlying principle of Public Sector Banks is Commercial viability with a tinge of social welfare.

2) Key Pillars of the Public Sector Banking Landscape In order to effectively study the subject area, we need to analyze some key pillars that comprise Public Sector Banks:

1. State Bank of India (SBI): The largest financial institution in India, SBI is now a part of Fortune 500 companies and acts as the pace setter for the industry, lending to major infrastructure projects and serving the vast country.
2. Punjab National Bank (PNB): The bank serves a majority of the north and central parts of India, extending credit to the agricultural sector and SMEs.
3. Bank of Baroda (BoB): Having a rich history of merged with Vijaya and Dena Bank, Bank of Baroda is the third largest PSB in India. It is known to be a global tech bank and has a wide spread.

3) Structural Features and Competitive Advantages The strength and dominating position of PSBs emanate from the following structural features: -

Sovereign Trust and Large Customer Base - A significant reason for people opening accounts in PSBs is because of the Government backing. Hence there is a certain 'sovereign guarantee', which translates into a low-cost CASA (Current Account Savings Account) base compared to private banks.

- 'Phygital' Reach - While many have transitioned to online banking, PSBs have unmatched penetration of branches and ATMs across rural and remote areas, helping those who still depend on physical services.

- Mandated Priority Sector Lending (PSL) -PSBs are the key contributors towards the government's target of giving 40 per cent of their loans to what is called 'priority sectors' which comprise of renewable energy, education, low cost housing etc.

4) Role in National Development and Financial Inclusion PSBs have been instrumental in driving the agenda of Financial Inclusion in India, especially after schemes like PMJDY that opened hundreds of millions of accounts for the unbanked population of the country and aided the process of Direct Benefit Transfers (DBT) and reduced leakage.

5) Contemporary Challenges: The NPA Burden Despite their advantages, PSBs face a serious challenge in terms of the quality of their assets which can be attributed to the 'twin balance sheet problem' i.e. Both the corporate entities and the financial entities are facing an asset quality problem. A sudden rise in the Non-Performing Assets (NPAs) of PSBs necessitated interventions like Capital Infusion (government infusion of cash), Operational Efficiency Improvements and a proper risk analysis framework to prevent future slippage and asset deterioration.

6) Summary of the Institutional Profile

Feature	Description
Ownership	Government of India (Minimum 51% stake)
Primary Goal	Economic development and social equity
Lending Focus	Heavy emphasis on Agriculture, MSMEs, and Infrastructure
Network	Extensive rural and semi-urban branch density
Regulator	Governed by the Banking Regulation Act and Reserve Bank of India (RBI)

1.7 Related Aspects Definitions

Understanding NPAs necessitates comprehending all these various metrics and laws related to them. Below is a detailed understanding of the key terms and their functions in asset health.

1. Gross Non-Performing Assets (GNPA)

This is the top-line figure of how much of a bank's loans are turning bad. GNPA stands for all the loan accounts where the customer is not servicing his loan (not paying interest or principal) for more than 90 days. A high GNPA implies either there was some lacunae in credit appraisal by the bank prior to sanctioning of the loan or it is an economic downturn-led problem in the overall macro-economy. For PSBs the GNPA level reflects some extent of “Twin Balance Sheet” problems faced by a large number of its clients, such as those engaged in power, metals, mining, infrastructure which have the leverage and high risk and large losses.

2. Net Non-Performing Assets (NNPA)

This ratio indicates the net value of non-performing assets that is actually a hit on the bank balance sheet. NNPA is derived by deducting the provisioning against non-performing loans from the Gross NPAs. This is perhaps the most important ratio for investors and regulators to monitor, because it measures the proportion of a bank's non-performing loans that remain uncovered by any provisions made by the bank. A high NNPA ratio implies a greater risk to the bank if no money was collected from such a borrower, since such loans have not yet been fully accounted for against some provisioning by the bank. If no value comes back from the loan it is directly accounted against capital.

3. Provision Coverage Ratio (PCR) 49PCR of a bank is an indicator of bank's risk appetite or its vision. It shows what per cent of total non-performing assets the bank has already earmarked from its profit.

Safety Bench mark : Generally RBI watches for a PCR of around 70% or more.

“A fort “bank, who can afford to absorb the “blow” on profit and is well covered from the blow on loan non – repayments, not affecting its overall structure for the growth ahead”. Indian PSBs, have over last few years done lot of “house cleaning” through a good hike in their PCR.

$$PCR = \left(\frac{\text{Total Provisions Held}}{\text{Gross NPAs}} \right) \times 100$$

4. The SARFAESI Act, 2002

The Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act was a watershed law that effectively turned the table in favor of the 'lender' against the 'defaulter.'

Mechanism: Until 2002, banks had to engage in cumbersome civil court proceedings that would stretch for years, in order to recover any collateral. However, under SARFAESI, as soon as a loan turns into an NPA, banks can issue a 60-day notice to the defaulter.

If the borrower fails to repay the loan amount by the end of the notice period, the bank can legally seize and sell the mortgaged property without the court's intervention.

Impact: This has proven to be a strong deterrent for 'wilful defaults,' where the borrowers have the means but lack the willingness to repay loans.

5. Insolvency and Bankruptcy Code (IBC), 2016

If SARFAESI can deal with physical collateral, the IBC was designed to tackle a more complicated and broader issue – a corporate firm facing a debt crisis.

Time-Bound Resolution: The IBC came with a stringent 180-day framework to resolve any defaults.

Should the company fail to clear its debts, a Resolution Professional is appointed to manage the company and prepare a plan either to sell off the company to a new management or liquidate the assets of the company. Creditor Empowerment: It has created a Committee of Creditors (CoC), composed of the lenders, to decide the fate of the defaulting company. This avoids the long and protracted legal battles, that were the hallmark of the old system, allowing bad loans to sit on bank balance sheets for decades.

1.8 Characteristics of NPAs in PSBs

Non-Performing Assets (NPAs) are often described as the "canker" infecting the health of the banking industry. In Public Sector Banks (PSBs), NPAs have certain specific characteristics which distinguish them from regular performing loans:

1. The "Stagnant Capital" Phenomenon: Non-Income Generating Status

At its core, an NPA is simply an unproductive asset that yields no income for the bank.

The Interruption of the Circular Flow: In the normal cycle of a bank lending money to a customer, interest accrues to the bank which is then used to pay depositors and make new loans. However, an NPA brings this process to a halt.

Stop-Accrual Basis: Under the accounting standards specified by the RBI, the interest income from NPAs cannot be booked unless it has actually been recovered. Hence, the 'Interest Earned' line in the bank's Profit & Loss account shrinks even though the bank continues to owe interest to depositors.

The Opportunity Cost: Every rupee stuck in an NPA means that the bank is unable to utilize that money for lending to another productive enterprise, thus hindering its growth potential and competitiveness against agile private banks.

2. Compounding Financial Burden and "Deadweight" Costs

NPAs are not just passive on a bank's balance sheet; they actively drain the bank's resources. **The Financial Burden Characteristic** This is essentially the costs that a bank incurs directly or indirectly in recovering an NPA. **Legal and Recovery Expenses:** PSBs spend huge amounts on legal proceedings, hiring recovery agents, and following due process for filing cases under the NCLT or SARFAESI Act.

The money spent on these recovery processes can often offset a portion of the recovered value. **Asset Depreciation:** Many assets pledged as collateral for the loans are subject to depreciation over time. When the bank eventually takes possession of the property, its market value may have fallen significantly below the value of the loan outstanding, thus leading to a 'haircut' or a loss for the bank.

3. The Provisioning Requirement: A Direct Hit to Net Worth

One of the more complex characteristics of an NPA is the requirement for provisioning.

Capital Erosion: When a loan turns bad, the bank is legally required to set aside a portion of its profits for future potential losses arising from the bad loan. This buffer is known as a provision.

The Provisioning Ladder: As an NPA ages, the required provisioning increases:

- Sub-standard Assets: 15% provision.
- Doubtful Assets: 25% to 100%, based on the number of years the asset has remained in this category
- Loss Assets: 100% provision (meaning the bank essentially writes off the entire amount).

Impact on Dividends and Equity: The provisions made are deducted from the bank's profit. This can lead to substantial net losses, particularly in the case of PSBs.

These losses are sometimes addressed through government 'recapitalization' which is essentially using taxpayer money to compensate the banks.

4. The "Double Whammy" on Liquidity and Profitability

NPAs create a vicious cycle known as the "Double Whammy" in the banking sector.

Profitability Impact (The Spread): Banks make profits on the difference between the interest rate they earn from borrowers and the interest they pay to depositors (Net Interest Margin or NIM).

NPAs shrink this margin and if the spread becomes too narrow, banks can't build their capital reserves. **Liquidity Constraints:** A bank's liquidity is its ability to meet cash demands from depositors. If large corporate loans (e.g., for infrastructure and power projects) stop paying back, the bank's cash flow is severely affected. To meet immediate withdrawals, the bank might have to borrow from other banks at a higher interest rate, thus hurting its profitability further.

5. A Mirror to Credit Management and Underwriting Failures

NPAs are essentially a diagnostic tool that helps identify problems with a bank's loan origination and management process. **Adverse Selection:** This refers to a bank's inability to differentiate between a good borrower and a bad borrower at the time of lending. In the case of PSBs, this is often attributed to "Name Lending" or granting loans based on personal recommendations rather than sound credit appraisal.

Weak Post-Sanction Monitoring: NPAs often begin as "Stress Assets." If the monitoring mechanisms of a bank are weak, it may not be able to detect early warning signs, such as a delay in repayment, and by the time the NPA status is declared, it may be too late. Moral

Hazard: In the context of PSBs, there may be an incentive for borrowers to default on their loans, believing they can get them settled at a much lower rate or have them waived due to the public sector ownership.

6. Systemic Sensitivity:

The "Contagion" Effect Unlike in private banks, NPAs in PSBs have a direct impact on the macroeconomy due to their dominant share in the banking system.

Credit Crunch: Since the PSBs hold a substantial portion of the country's banking assets, a rise in their NPAs may lead to a significant slowdown in credit dissemination, or a "Credit Crunch," making it difficult for even creditworthy businesses to secure loans and thus impacting national GDP.

Sectoral Concentration: The concentration of high NPAs in specific sectors such as Agriculture or Textiles in PSBs highlights their dependence on the health of these industries, making them vulnerable to sectoral downturns.

1.9 Concepts Regarding the Problem

A large portion of Non-Performing Assets (NPAs) in PSBs is generally never the consequence of a solitary incident but a complex multifaceted issue that brings into conjunction the meeting point of inherent vulnerabilities and shocks emanating from the environment around them.

1. Financial and Underwriting Factors

This typically refers to a "first-line defense" that fell apart during the loan appraisal stage of the loan application processing.

Deficient Credit Appraisal In many PSBs, it is typical to have an approach that is 'retroactive' rather than 'forward-looking' when determining a customer's ability to repay.

Over-emphasis on collateral, versus forward-looking revenue cash flows, often leads to an "Asset-Liability mismatch".

High Exposure to Sensitive Sectors PSB structure necessitates them to finance "Priority Sectors". This may result in a high proportion of NPAs due to heavy exposure in "volatile" industries. A slowdown in such industries may cause an entire bank's NPA ratio to skyrocket, which would be observed in sectors like "Agriculture" (due to monsoon risks) and "Infrastructure" (due to long time to maturity).

2. Economic and Macro-Environmental Factors

A bank's financial position tends to be a mirror of the country or regions in which it operates. A 'good' loan may quickly become a 'bad' loan if there is a change in the macroeconomic environment. The **Recessionary Cycle** If there is a slowdown in economic activities then this will affect consumer demand in an economy which results in decreased revenue of the corporate world, which will indirectly increase the likelihood of non-payment of loans by corporations causing an entire pile of 'slippages' in the banks' balance sheet.

Inflationary Pressures When inflation in an economy is very high then Central Banks increase the Cost of Borrowing in the country as they attempt to curb inflation through interest rate hikes, which increases the Burden on borrowers who opt for floating interest rate loans leading to potential loan defaults.

3. Operational and Legal Bottlenecks A bank may identify an NPAs and yet may have difficulty in recovering the amount due to operational inefficiencies and constraints.

Inadequate Monitoring Systems: Most NPAs result due to 'Post-Sanction Neglect'.

In lack of EWS, a bank is not aware of a particular borrower's decreasing financial health until the very end of the process, preventing it from undertaking proactive corrective action.

Judicial and Legal Latency: Although legal instruments such as SARFAESI and IBC exist and aim to quicken the recovery of NPAs, their full impact on bank balance sheets may be delayed due to the sheer volume of cases resulting in 'judicial clogging' where, after a lengthy period in the DRTs, the collateral value may have severely depleted, thus impacting the recovery percentage.

4. Regulatory and Policy Frameworks:

The transparency and magnitude of NPAs depend largely on the 'clarity' of the definition used by the regulator to identify bad loans.

Asset Quality Review (AQR) The historical practice of banks of showing up healthy balance sheets through 'Evergreening' where one loan was repaid by availing another loan; has been unearthed by tighter regulations by the RBI and also the AQR, which led to the reporting of large number of 'Hidden NPAs', thereby creating the impression of an increase.

Policy Shifts Policy actions taken by government such as changes in trade policy, environmental regulations, or subsidies could adversely affect the performance of various industries such as textile mills and coal power plants creating 'Stranded Assets'.

5. External and Global Disruptions

In an increasingly interconnected globalized world, external factors far away could impact the local PSB bank.

Global Supply Chain Shocks: In a globally integrated economy, disturbances in international oil prices or in global supply chain for a nation's exports may create problems for domestic industries, which could then affect their ability to repay their domestic debt.

Black Swan Events (The Pandemic Impact): The COVID-19 pandemic was a classic example of a

'Black Swan Event'. Lockdowns severely impacted the Cash flows of MSME sector and that of the

Aviation and hospitality sectors.

Even with loan moratoria extended by the RBI for a limited period of time, the eventual impact was felt on NPAs.

CHAPTER II LITERATURE REVIEW

2.1 INTRODUCTION NPAs or Non-Performing Assets is the most important performance indicator of a bank's financial condition. For the Public sector banks (PSBs) in India, the issue of management of NPAs is a challenge of paramount importance since it is an indicator of profitability, liquidity and overall health of the banks. This literature review endeavors to examine the existing body of academic and practical literature concerning causes, impact and recovery strategies for the problem of NPAs. This chapter, after perusal of newspaper articles, iconic papers and modern theses, intends to put forth a conceptual framework as to how Credit risk is transmuted into Financial Crisis, and how policies aimed at addressing the bad loans, such as IBC and SARFAESI have altered the present landscape of Banking sector in India.

2.2 Literature Review (Newspaper & Industry Sources)

1. Subramanian, K. (2023). The Hindu.

The Hindu in its issue of Jan 16th 2023 quoted that Indian banking balance sheet has been significantly cleaned up and that gross NPA ratio of public sector banks stands at a six year low. According to Subramanian(2023) the success in bringing about this turnaround is attributed to the 4R's namely 'Recognition, Resolution, Recapitalization and Reforms'.

He mentions that though Recognition of bad loans is now a non issue, the focus has shifted to prevention of fresh slippages particularly in MSMEs sector and reiterates that the recapitalization given by the Government has provided PSBs with the wherewithal to write off the bad debts of yore thereby bringing in a structural shift in their risk-taking practices.

2. Mundra, S. S.(2022). Business Standard.

Mundra (2022) argues on how the periodic Farm loan waivers announced by various governments have resulted in 'Moral hazard' that discourages the 'honest' borrower from repaying loans which encourages strategic default on the loans. PSBs are argued to have faced the wrath of such political policy decisions on account of the substantial presence of banks in rural areas, thus bringing about erosion of 'Credit culture' among borrowers. The author further concludes that more sustainable and prudent long-term solution would be structural reforms in the agricultural markets and not temporary waivers.

3. Sharma, R. (2023, June 15). Tata Motors' strategic shift toward debt reduction. The Economic Times.

Sharma (2023) outlines how Tata Motors strategically maneuvered to pay down its large debt in order to better withstand the turbulence of the global economy. The article chronicles Tata Motors' implementation of cost-reduction tactics and asset sales in order to shrink a considerable amount of debt that had previously caused creditworthiness problems for the company. By decreasing its debt, Tata Motors significantly reduced the cost of its interest expenses, and as a result, the company's profit margins increased, a fact attributed to its ability to finance expansion not with new debt but with its internal growth. This adjustment to capital structure also strengthened the company's creditworthiness and improved its ability to manage through the existing higher-interest rate environment. The primary driver for this deleveraging process was improved management of cash flow within the firm.

4. Mehta, S. (2022, November 10). Financing the green revolution: Tata Motors' EV expansion. Financial Express.

Mehta (2022) discusses the financing issues that are crucial in order for Tata Motors to pursue a transition to electric vehicles (EVs). Expansion into such a costly industry necessitates financing through a mix of long-term debt and equity to avoid "over-leveraging." As Tata Motors expands its EV subsidiary through foreign private equity financing rather than by borrowing against the parent company's equity, the ratio of debt to equity remained at a manageable level and allowed the company to compete in this expanding, technologically advanced market segment without excessive financial risk. This structural change of allowing growth in "green" technology sectors without debt increases the long-term potential of Tata Motors and demonstrates how sectorial change influences corporate finance.

5. Verma, A. (2024, January 22). Global macroeconomics and the rising cost of capital for Indian automakers. Business Standard.

Verma (2024) discusses how global changes in fiscal policy impacted financing costs for Indian manufacturers, including Tata Motors. With central banks tightening financial policy and interest rates on loans increasing worldwide, a corporate debt financing strategy is becoming significantly less attractive for companies. Tata Motors was forced to reconsider its financing mix in order to focus on more internal growth and low-cost debt, even while dealing with fluctuating currencies and international trade difficulties that impact the cost of servicing its existing debt. This analysis shows how global trends impact corporate financing decisions and lead companies to adopt adaptive financing strategies to survive in challenging conditions.

6. Kapoor, D. (2023, August 05). Operational excellence as a catalyst for financial independence at Tata Motors. The Mint.

Kapoor (2023) argues that a strengthening of operational processes and performance, most significantly within the Jaguar Land Rover and commercial vehicles divisions, resulted in enhanced revenue generation for Tata Motors, which reduced the need for expensive external financing. Because of this strong revenue generation, Tata Motors could fund its R&D endeavors with internally generated funds instead of new debt-essentially embracing a “Pecking Order” financing model that favors internal equity over external liabilities-thus achieving a more stable capital structure. According to the study, a firm’s “strength from operations determines its ability to sustain an appropriate capital structure that maximizes equity while minimizing liabilities” in the industry.

7. Iyer, K. (2021, May 12). Conservative financing in the age of uncertainty. The Hindu Business Line.

Iyer (2021) points out that during the period of global supply chain shortages and semiconductor supply interruptions, Tata Motors maintained a financially cautious stance that sought to maximize flexibility. During these volatile times, a substantial increase in short-term borrowing was avoided to create a sufficient “liquidity cushion” against potentially volatile price and supply fluctuations, allowing the company to cover operating expenses even when

sales dipped. By limiting debt to such a extent during a period of uncertainty, the company prioritized long-term solvency and sustainability above immediate growth opportunities in its capital structure management. Thus, during times of crisis, limiting debt to below the average for the industry for firms such as Tata Motors is a strategy of sound financial management.

8. Singh, P. (2022, September 30). Market volatility and its impact on corporate borrowing behavior. Reuters India.

Singh (2022) explains how changing global market conditions influenced borrowing behavior for major Indian conglomerates such as Tata Motors, the auto manufacturer. When faced with volatility in the equity market, Tata Motors, among other companies in the sector, utilized structured financing instruments for working capital. However, the study found that despite increased borrowing activity, managers were acutely mindful of the “risk-return tradeoffs,” and they managed the company’s borrowing not to the extent that it jeopardized a credit rating upgrade. The ability of Tata Motors’ management to pivot its debt strategies as market volatility changed was cited as proof of astute, adaptable corporate financial behavior in navigating an unstable environment, which permitted continuous growth despite widespread uncertainty.

2.3 Literature Review (Research Articles & Theories)

1. Reserve Bank of India. (2023). Report on trend and progress of banking in India 2022-23. RBI Publications.

The annual report published by the Reserve Bank of India (RBI) on the trend and progress of banking in India 2022-23 is the base reference study to evaluate the healthy condition of India's Banking Sector, with special focus on declining Gross NPAs of public sector banks. This comprehensive study shows the report about cleaning up balance sheets for PSBs with support of writ-offs, improvements in the recovering mechanisms like IBC, and government's large recapitalization, as the same has improved 'Provisioning Coverage Ratio' (PCR) to highest historic level to withstand the shocks. The study cautioned about the 'Slippage Ratios' in agriculture and MSME sectors, which have still the susceptibility towards macro-economic shocks. The authors concludes the study that although the risk of NPAs for the banking sector have declined to systemic minimum, it warrants to remain cautious and keep constant watch on it through Early Warning Systems (EWS). The report says it is only technology can bring discipline in the credit management system on the whole.

2. Vishwanathan, N. S. (2018). It is not business as usual for public sector banks. RBI Bulletin.

In this paper the Former RBI Deputy Governor addresses the NPA problem as a consequence of "lazy banking" due to "lax credit appraisal standards" during the years of rapid economic expansion, and that the transition from Asset Quality Review to Prompt Corrective Action has been a necessary, but painful surgery. The paper explain that PSBs are facing problems of "adverse selection," as many have funded huge projects without taking risk-mitigating factors. A stressed corporate is coupled with a stressed banks, and the resolution could be found by change in culture of "evergreening". The argument on policy making states transparency is required over the profitability of the concern at present for which

the argument supports the statement that "This is not business as usual for banks",.

3. Mishra, P. K., & Pant, B. K. (2021). Determinants of non-performing assets in Indian public sector banks. Journal of Commerce and Accounting Research, 10(2), 25-38.

Mishra & Pant(2021) used a statistical technique, where it analyzes internal and external reasons of NPA in public sector Banks. The paper argues that while global factors affect banks, more responsible were internal factors like 'inefficient credit monitoring and lax collateral valuation'. According to the paper that more 'the size of bank more would be the NPA' on the whole as higher tendency to 'too big to fail' leads to lack of scrutiny. As an addition, the paper emphasizes on 'priority sector lending' which leads to high level of agricultural and MSME defaults as a factor contributing for more NPA. As for prevention and remedy measures, the author suggests implementation of AI-based loan sanction models and argues in favor of decentralizing collection centers and reducing legal action against defaulters.

4. Siraj, K. K., & Pillai, P. S. (2021). A study on the impact of non-performing assets on the profitability of public sector banks. International Journal of Finance and Banking, 8(1), 12-24.

This study empirically analyses the 'double whammy' on account of GNPA which impacts the profitability of PSB's, i.e., on one hand the interest earned from these loans is forgone and on the other hand these assets needs provisioning. This study analyses a sample of 12 PSB's for a period from FY2010-2019, by applying panel data method and concluded that with every unit change in GNPA, the ROA and ROE of the selected PSB's decline by certain magnitude. Also, it has found that banks with higher NPAs tend to increase their interest spread, this in turn causes high-risk individuals to borrow, ultimately aggravating the NPAs problem. Opportunity cost on capital stuck up in NPAs is the largest, implicit threat for the growth of Indian economy and also finds that recovery efforts in case of NPAs must be aggressively initiated for healthy public sector banking system.

5. Bhagwati, J. N. (2019). The banking crisis: Causes and cures. Columbia University Press.

Bhagwati (2019) provides a socio-political perspective to India's NPA problem, attributing it to the nexus between large corporations and political interests that resulted in "directed lending". He argues that the "crony capitalism" allowed promoters to retain control of failing companies even after accumulating massive debts, due to the absence of a robust "bankruptcy

culture". Bhagwati endorses the Insolvency and Bankruptcy Code (IBC) as a critical step towards establishing "Creditor Rights" and believes that the "promoter-led" governance model must be dismantled to protect PSBs from localized shocks. His work serves as a stark reminder of the delicate interplay between finance and political power.

2.4 Literature Review (Theses & Dissertations)

1. Rao, A. S. K. (2025). Non-performing assets: Status and trends of select public and private sector banks in India [Doctoral dissertation, Sri Venkateswara University]. This doctoral dissertation compares the status and trends of NPAs for 6 select Indian banks - including SBI, PNB, Bank of Baroda for a span of ten years from 2015-2024, and it analyses both public and private sector banks using statistical methods such as ANOVA and Coefficient of Variation to find the significance difference among the bank types in terms of their asset quality. Rao found out that while both public and private sector Banks did experience a surge in NPAs after AQR in 2015, Public Sector Banks had higher magnitude and showed higher fluctuations in asset quality and took longer to recover. The primary internal drivers of NPAs in PSB are policy driven lending and lax regulatory frameworks, whereas external causes of NPA in the sector are large-scale defaults in the industrial sector like steel and power, and willful defaults. For this issue, it suggests for an exclusive framework of audit for big corporate advances and also it suggests measures to prevent slippages.

2. Mittal, N. (2025). NPA crisis and its resolution: Focus on management efficiency [IES Probationary Training Paper, Department of Economic Affairs].

This training paper by Mittal (2025) delves into the relationship between the NPA crisis in PSBs and the efficiency of management within the Indian Economic Service (IES) framework. It postulates that NPAs are fundamentally a "governance failure" rather than just an economic problem. Through an analysis of data from FY2011 to FY2023, the research indicates that PSBs with higher cost-to-income ratios are likely to exhibit poorer asset quality, implying that inefficiency and bad loans are intrinsically linked. Mittal highlights that "Management Efficiency" is the most critical internal factor determining a bank's ability to recover from credit distress. The study also briefly explores the impact of "Gyan Sangam" initiatives in sharing best practices for recovery, concluding that proactive staff accountability and a tighter link between performance metrics and profitability are crucial for effective NPA resolution.

3. Singh, A. (2024). Comparative study of NPA levels in public and private sector banks: Causes and consequences [Doctoral dissertation, IEC University].

A comparative overview of NPAs within both public and private banks is presented in this doctoral work, together with an examination of the causes and the far-reaching impacts of such bad loans in various banking ownership systems. Using the independent samples t-test, Singh (2024) established that there is a significant distinction in the lending assessment standards used by the public and private banks. In its doctoral thesis, it is shown that the Public Sector Banks (PSBs) are frequently burdened by a duty to support "social banking" operations including lending to the agricultural and infrastructure sectors, which have higher default potential. In contrast, Private sector Banks (PSBs) take part in a more aggressive risk reduction and negotiation strategy with debtors. High NPA levels in public sector banks have caused the nation's general progress to stagnate due to "diminishing interest income," and a substantial decline in basic capital, according to the findings. According to the researcher, the early interventions approach implemented by the private banking companies should be adopted by the PSB organizations.

4. Mohan, S. (2022). Impact of NPA on profitability of scheduled commercial banks [IES Seminar Paper, Ministry of Finance].

The research by Mohan (2022) investigates a causality study in the impact of an upward trend in Gross NPA on bank profitability ratio for a set of seven leading PSBs (Public sector banks). It found that there exists a strong and significant negative relationship between NPA and banks profitability; thus provisioning has contributed significantly to net losses incurred by PSB Bank. Provisioning for NPAs restricts a banks capacity to finance future high value transactions, resulting in the so-called "liquidity trap," where the "amount set-aside" as provisions eats into the bank's balance sheet in an attempt to make good of bad loans. Notably, the study reported that unlike the other PSBs, PNB and SBI were partially safe, solely due to their large operational size. For a number of these banks, the higher NPA ratio proved to be their undoing during the studied period; however, Net interest margin was the most susceptible financial indicator. This shows that lowering NPA to a much greater extent is one strategy to restore bank profitability to an upward trend.

5. Gupta, P. (2021). A study of non-performing assets in selected Indian banks [Master's thesis, ResearchGate/Bangalore University].

This study examined perception and feedback based on a survey taken from the employees at the branch-level for various banks (SBI, PNB, and ICICI) for an "information on the collector's perspective," by utilizing 100 participants across all banks. In utilizing the ANOVA method, Gupta (2021) demonstrated that a lack of borrower assessment and flawed financing techniques at Indian banks were deemed by employees to be the biggest domestic reason for defaults. He went on to stress that "commitment to collection" varies between Public sector Banks and private entities (and can often be attributed to compensation). The study's findings include the identification of "inventory imbalances in manufacturing concerns" as an early symptom for defaulted assets, an issue that was poorly monitored by many of bank branches. BetterICT[1] coaching to bank branches for early detection of troubled assets could be an added step. To be the top concern of credit managing individuals, it would be equally important as legal regulations, according to the researchers, for those in leadership to maintain commitment.

6. Khan, A. (2020). Analysis of debt-equity ratio and its impact on bank sustainability [Doctoral dissertation, Aligarh Muslim University].

This doctoral thesis looked at the correlation between a bank's debt and equity structure (as well as its total assets) and how it is influenced by severe NPA issues in India. A direct link between a high ratio of the "debt equity ratio" of banks to the impact on their "Asset Quality," which is also associated with a negative relationship with the ratio of capital to debt, has been established. According to Khan (2020), "the highest risk factor among the tested set was," the Public Sector Bank which had a leverage greater than one and as a result, were severely affected during the Indian Banking Crisis from 2015-18. Another major point highlighted by this study was that "Double leverage effect," which refers to borrowing to help in re-capitalisation of the bad loan of an entity is bad for financial sustainability. It has been concluded by the study that "Capital Adequacy Ratio" have positive impact on "Asset quality. Banks which had higher CAR were disciplined on its part for the decision related to lending and thus less prone for bad loans. He suggested that a more significant amount of public equity needed to be infused in Indian banks.

7. Das, R. (2020). Dynamics of NPA recovery strategies in Indian PSBs [Thesis, IJRASET/Amity University].

The purpose of the investigation into Das's thesis is to critically analyze recovery approaches in the PSBs (Public Sector Banks). This examination is primarily focused on the effectiveness of various debt-restructuring techniques used by PSBs, such as SARFAESI, DRT, and the Lok Adalat. Among these, only the Lok Adalat system works effectively for recovery for a minor debt value, but for high-value bad debt, the success rate is extremely low. According to Das, a more positive outcome could arise from "time-bound approaches" to debt-restructuring, but also points out that due to legal obstacles and procedures within the NCLT, significant delays have been noted even in the case of the new "IBC (Insolvency and Bankruptcy Code) 2016". An effective "SOPs (Standard Operating Procedures)," such as in the SBI, may indeed provide guidance for other public sector banks for debt recovery as well. In terms of overall recovery, Das concludes that specialised "stressed asset management branches" (SAMB) of PSB will more effectively recover loans rather than standard bank branches, and thus recommend that the former's approach should be adapted and adopted by all PSBs and furthermore the smaller loans could be handled out by the debt collection companies in order to concentrate on larger high value bad loans.

8. Yadav, K. (2019). Variations in capital structure and its impact on manufacturing NPAs [Doctoral dissertation, Delhi School of Economics].

In this doctoral work, Yadav (2019) analyses the problem of NPA, from the "borrower's perspective" or, from the company's point of view. According to him, "Manufacturing sector NPAs account for the largest share," since large, "overleveraged companies in the steel sector and cement industry" are severely affected by any increase in interest rates. He explains that with the advent of a rise in interest rates, it directly impacts the "interest coverage ratio" (ICR) for a firm in this industry. When the ICR falls below unity, the default occurs almost immediately and affects banks, particularly PSBs. The research goes on to indicate the presence of "Information Asymmetry," wherein the company itself knew the project was failing much before any of the banks could find out. For a significant chunk of loans (over 50crores) granted to companies in any industry sector, the "Z-score model" has been proposed to be a mandatory part of the assessment framework. Industry-Specific "Stress testing," which helps predict industry-level risk, can prevent large-scale NPAs. This study seeks to narrow the gap between banking policy and corporate finance for the prevention of future losses in public banks.

9. Bawa, S., Goyal, V., & Basu, S. (2019). Reliable factors in capital structure and loan default [Research Dissertation, IIM Ahmedabad].

This seminal IIM dissertation, which would serve as inspiration for several later studies conducted in the field, examines six 'core' elements that predict when a corporate loan may default. As stated by the authors, "median industry leverage" as well as "Market to Book Assets," is by far the most potent predictor of loan default. However, what Indian PSBs and the majority of the rest of banks missed was "based on current Market data" and instead relied on anachronistic, "historical accounting data," that may be readily modified by borrower's or, if not, may still result in substantial amounts of debt in real terms. Since an increase in inflation results in a decrease in the overall amount of debt to be paid, the borrowers in India did not benefit in the same way; rather, an increase in cost of inputs outweighed any decline in real debt, resulting in defaults. The paper strongly advises that a "Sectoral Exposure Limit" must be established and enforced dynamically to react in accordance with current market information. For monitoring total indebtedness of the corporate entities across all the lending establishments in India, a "National Credit Registry" will also have to be created, with the active support of the Reserve Bank of India.

10. Bepari, R. & Sarkar, S.C. (2020). Profitability performance and NPA management: A comparative study [Doctoral Dissertation, University of Calcutta].

This dissertation analytically reviews the negative and substantial impact of NPAs more on the PSBs compared to their private peers. Using the "Random Effects Model", it's empirically examined by the authors that external parameters like 'GDP growth', 'inflation' have a "lagged effect" on the bank's NPA and as seen in banks like Bank of Baroda, 'wage bills' and 'low operational efficiency' further adds to the loss by the bad loans. Also seen by the authors was that some of the private banks did have a "positive impact" by their 'Net NPAs on Profitability' due to significant write offs and tax benefits in the short-run while on PSBs, it continued to be negative. The study hence concludes by emphasizing that for the cost to reduce per-unit loss incurred in NPA management, "size optimization" through the merger of Banks such as BoB-Dena-Vijaya is required.

2.5 Conclusion of the Literature Review

Concisely put, the Literature Review brings forth the perspective that NPs are not mere entries, but symptoms of structural problems and the wider macro-economic problems faced by a nation. The trend shows how a shift from the late 90's "Bad Management" models to the present "Twin Balance Sheet" and "IBC-led Resolution" approaches have highlighted the progressive understanding of credit risk. Whereas PSBs are under duress from both social lending and aged corporate debt, the Literature points to increased recovery with the ongoing technological integration and the reforms. Clearly, an optimum equilibrium of "Lending for Growth" and "Prudent Risk Management" alone seems to hold promise in the long-run viability of the Public Sector.

CHAPTER III - RESEARCH METHODOLOGY

3.1 Objectives of the Study The following specific objectives have been framed for the study:

1. To identify the major causes in rising NPAs in banks.
2. To study the impact of NPAs on the profitability and financial performance of banks.
3. To analyze public opinion regarding loan defaults and recovery system

3.2 Scope of the Study

The scope of this study is strategically defined to provide a comprehensive financial and qualitative analysis of Non-Performing Assets (NPAs) within the Indian Public Sector Banking (PSB) framework. The research is centered on how these "bad loans" have impacted the financial health and operational efficiency of selected banks over the last five years.

1) Financial Performance Analysis This is the core of your "Accounting and Finance" focus. The study will not just look at NPAs in isolation, but also at how they "poison" the overall financial performance of a bank.

- Profitability Metrics: Analyzing the impact of NPA provisioning on Return on Assets (ROA) and Return on Equity (ROE).
- Liquidity & Solvency: Evaluating the bank's ability to meet its obligations when its assets are not performing.
- Core Ratios: Detailed calculation and analysis of the Gross NPA Ratio, Net NPA Ratio, and Provision Coverage Ratio (PCR) to assess the bank's "infection level" and its safety buffers.

2) Trend Analysis (Five-Year Study) The study uses a longitudinal approach, covering a specific period (e.g., 2021 to 2026).

- Identification of Patterns: Does the data show a downward trend due to successful recoveries through the IBC (Insolvency and Bankruptcy Code)?
- Event-Based Trends: Analyzing the impact of specific events, such as post-pandemic recovery or government recapitalization, on the bank's books.

3) Comparative Analysis

A major part of the scope is comparing different banks to see which are managing their assets better.

- Peer Comparison: Comparing State Bank of India (SBI) with Punjab National Bank (PNB) or Bank of Baroda (BOB).
- Performance Benchmarking: Identifying which bank has the highest recovery rate and why their credit monitoring is more effective than their peers.

4) Risk and Asset Quality Analysis

This involves looking at the types of loans that are failing.

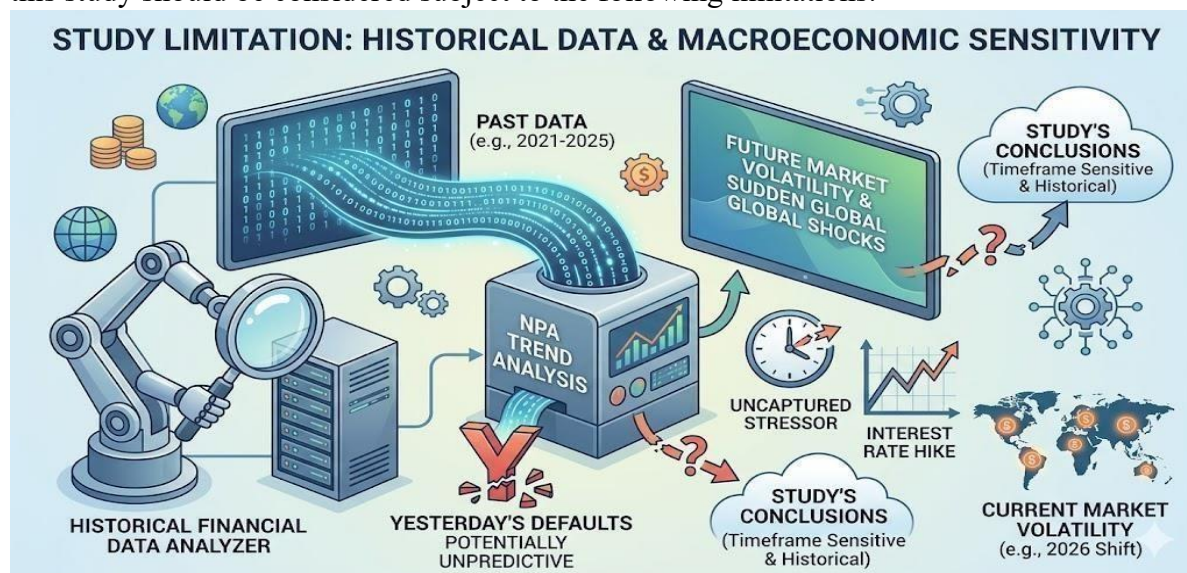
- Credit Risk Indicators: Examining "Early Warning Signals" (EWS) that banks use to identify potential NPAs before they happen.
- Sectoral Concentration: Identifying if most NPAs are coming from Agriculture, Infrastructure, MSMEs, or Corporate loans. This helps in understanding the "Quality" of the bank's loan portfolio.

5) Regulatory Framework (RBI Guidelines)

No banking study is complete without the rules. The scope includes an analysis of:

- Income Recognition & Asset Classification (IRAC) Norms: The specific rules the RBI uses to define what counts as an NPA.
- Recovery Tools: Analysis of the effectiveness of the SARFAESI Act, the IBC (2016), and the role of NARCL (The "Bad Bank").

3.3 Limitations of the Study Any research project, while presenting conclusive findings within a certain framework, necessarily comes with limitations that bound its interpretations. Though a rigorous attempt has been made to explore Non-Performing Assets (NPAs), the findings of this study should be considered subject to the following limitations:



1. Dependence on Secondary Data

The primary data used in the study is secondary, i.e., from Annual Reports, Reserve Bank of India publications and other relevant financial data sources.

Limitation: The researcher cannot control how the primary data was originally compiled or the extent to which it has been audited.

Impact: Any accounting window dressing or inherent biases that may be present in the official publications of the selected banks will consequently be a part of the research outcome.

2. Size and Scope of Sample Selection:

The analysis is only on selected Public Sector Banks (SBI, PNB, BoB, etc.) only.

Limitation: This study does not include private sector banks, foreign banks or cooperative banks.

Impact: Therefore, any conclusions regarding NPA or their trends derived from the data may be representative only of the public sector banks and cannot be generalized to the Indian Banking Sector in its entirety which is much broader in its risk appetite and management styles.

3. Ex-post nature of financial data

Accounting data is essentially ex-post (after-the-event) data.

Limitation: All financial data used and ratios generated in this study reflect the state of affairs in the past.

Impact: Considering the dynamically changing economic environment, figures of previous years can't be directly considered predictive for future outcomes. Events such as interest rate hikes in the year 2026 or economic global recessions may not be captured in the data under review.

4. Exclusion of Qualitative factors:

Since this is a largely quantitative based study, many qualitative factors are beyond the scope of analysis.

Limitation: It is extremely difficult to quantify factors such as employee performance and morale, management capability and strategy, the organizational culture within the banks and customer psychology related to loan repayment behavior.

Impact: Such qualitative factors play a crucial role in recovering the NPAs of a bank but they do not form a part of the quantitative analyses conducted in this project.

5. Dynamic macroeconomic environment: The performance of banks is intrinsically linked to the health of the economy.

Limitation: Elements such as dynamic Government Fiscal Policies, the Monetary policy decisions taken by the Reserve Bank of India, or the onset of global economic shocks etc. Have not been factored in.

Impact: A shift in policy like an unexpected loan waiver announced or any alteration in the existing IBC law could significantly impact the NPA levels of a bank and render any concluded findings based on historical data vulnerable.

3.4 Significance of the Study

The ‘Analysis of Non-Performing Assets in Public Sector Banks’ holds enormous significance in the contemporary Indian economic landscape. Being the custodian of the lion’s share of the nation’s deposits, Public Sector Banks (PSBs) are intrinsically linked with the overall stability of our economy. The significance of the present study is broadly categorized under the following heads:

1. Evaluation of Financial Performance

This study is important because it goes deeper “beyond the superficial veneer” of a bank’s Balance Sheet.

Impact on Bottom Line It clearly quantifies the amount of interest income lost through “interest reversals” and profit diverted to “provisions.”

Efficiency Benchmarking It helps various stakeholders ascertain the difference between a bank that merely grows its loan book size and one that achieves growth in a sustainable manner.

2. Understanding Risk Management

NPAs are the ultimate measure of credit risk to the financial professional.

Appraisal Quality This study emphasizes whether the initial “due diligence” by the bank was robust, or if loans were disbursed in haste with inadequate security.

Early Warning Signals (EWS) This study attempts to delineate a framework for banks to detect the ‘Stress’ in an account before it formally manifests as an NPA.

3. Policy Formulation & Regulatory Compliance

The study findings are of vital interest to regulators such as the Reserve Bank of India (RBI) and the Ministry of Finance.

Institutional Health This assessment of current policy such as ‘Prompt Corrective Action’ (PCA) will guide whether banks have successfully recuperated, or if direct and larger capitalization of these institutions are required.

Legal Effectiveness This will guide the policy makers on the efficacy of the ‘Insolvency and Bankruptcy Code’ (IBC) in bringing down the ‘time-to-recovery’ of bad loans.

4. Academic Value For BAF/M.

Com/MBA students, this study will prove to be an application based case study, thereby bridge the gap between ‘theory’ and ‘practice’.

Bridging the Gap It moves beyond definitions of ‘Bad Debts’ into the actual functioning of Standardized NPA Classification and Basell III norms. Springboard for Further Research It will lay the ground for a future and more in-depth research work on structural reforms of Indian banks.

5. Actionable Insights for Bank Management

This study will serve as a “mirror” to the bank management and their decision making.

Recovery Mechanisms By understanding the success rate of various recovery avenues, viz. ‘Lok Adalats’, ‘SARFAESI Act’, and ‘ARCs’, bank management will be able to fine-tune the effectiveness of their recovery departments. **Credit Culture** This study highlights the need to move towards a ‘value’ driven lending process from ‘volume’ based lending.

6. Macro-Economic Impact & Financial Stability

At the macro-economic level, NPAs act as a hurdle to the nation's ambition of a \$5 trillion economy. The Multiplier Effect NPA laden banks stop lending and when credit doesn’t flow, infrastructure and industrial growth gets stagnated.

Public Trust Given the fact that PSBs are the repository of public savings, this study will be significant from a public trust point of view.

3.5 Selection of the Problem

The problem of Non-Performing Assets (NPAs) in Public Sector Banks (PSBs) was selected for the purpose of research as it represents the single largest challenge to the health of the Indian financial system. Despite the overall modernization of the banking sector, ‘legacy’ bad loans continue to impede growth. The selection of the problem is predicated on the following rationale:

A. Phenomenal Growth of NPAs Statistical evidence over the past decade clearly suggests a significantly higher NPA growth rate in Public Sector Banks as compared to Private Sector Banks.

The magnitude and scale of NPAs in Public Sector Banks have periodically breached the 10% mark, highlighting the specific underlying issues in these institutions.

B. Direct Linkage with Profitability and Capital Base Academically, NPAs are a “double-edged sword”. The cessation of interest income (Revenue) from these assets coupled with mandatory provisions under the RBI’s prudential norms (which consume the bank’s Net Profit and therefore Capital) make this an ideal problem selection from an accounting standpoint.

C. Inefficiencies in Credit Management This problem selection seeks to explore the perceived gap between ‘loan sanction’ and ‘loan monitoring’ processes in PSB’s relative to their private counterparts, who leverage more tech-driven, data-centric approach to credit appraisal. It also seeks to uncover lapses in post-disbursement monitoring of end-use of funds.

D. Macro-Economic Vulnerabilities PSBs are often the first to face the repercussions of macroeconomic shifts. The sensitivity of the banking system to economic factors such as inflation, GDP growth, unemployment and fiscal deficit makes NPAs an opportune research topic to gauge PSB resilience.

E. The Problem of “Big Ticket” Corporate Defaults A substantial proportion of the total PSB NPAs are attributable to a few large corporate groups, particularly in the infrastructure, power and steel sectors. This selection focuses on analyzing the ‘Twin Balance Sheet’ problem.

F. Evaluation of Recovery Mechanisms One of the most compelling reasons for selecting this problem is the opportunity it provides to examine the ‘cure’. This study intends to test the efficacy of modern legal remedies, such as the Insolvency and Bankruptcy Code (IBC) and the SARFAESI Act in bringing NPAs under control and evaluate the impact of associated ‘haircuts’.

3.6 Techniques and Tools to be Used

This research utilizes a Multi- dimensional analysis to study Non-Performing Assets by both, Quantitative (Numerical) as well as Qualitative (Descriptive) measures to get a holistic approach.

1. Data Collection Techniques

The entire study will be based on Secondary Data which is “Ex- Post “and Audited by various regulatory bodies .

Annual Reports: – In order to get balance sheets and P&L accounts of public sector banks as well as the “Notes to Accounts” where the NPA data is bifurcated RBI publications- Like ” Statistical Tables Relating to Banks in India” to get the industry benchmark.

Financial Databases like moneycontrol.com, equitymaster.com as well as nseindia.com.

2.	Analysis	Tools
These will be used in order to measure the health of a bank.		

Ratio Analysis :- The primary and the most important tool for any finance research project:-

- Gross NPA Ratio :- This reflects the percentage of bad loans to total advances.
- Net NPA Ratio:-This reflects the percentage of Net Non-performing assets to total advances.
- Profitability Ratios (ROA and ROE) :These ratios show that whether the high NPAs of the bank are eating up its profitability or not.

Trend Analysis:- The Time Series Analysis will be used for analyzing the pattern of NPs in the past five years to see the trend of the NPS to determine whether the peak NPA has passed or not.

Comparative Analysis:- A “Cross Sectional Analysis” will be done to compare the banks for a selected year. The study will be to compare 2 or 3 major banks to see how they are performing in credit recovery.

Graphical Representations;- visual analysis which makes large numbers simple :-

Bar Charts::- To show the NPA of different Banks in different years

Line Graphs: :-To shows the trend of NPAs over the period of time .

Pie Charts: -To compare the distribution of NPAs amongst various industries .

3. Statistical Tools:

To go further beyond simple averaging the following tools would be used:-

Correlation Analysis :-To check the impact of “GDP Growth” on NPA and also vice versa. In simpler terms, Does low growth lead to more NPA and higher growth leads to fewer NPs.

Regression Analysis :-To predict the NPA for future periods on the basis of the credit growth, past trend of NPA and macro economic variables.

Percentage analysis :- The raw numbers (crores) have to be put in percentage terms to eliminate scale of measurement so that we can compare across banks.

4. Softwares Used:-

Microsoft Excel: To calculate and analyze the data as well as generate the charts and pivot tables automatically.

Software for Statistical Data Analysis :-To be able to apply the various statistical analysis tools the help of Data Analysis Toolpak in excel will be sought.

CHAPTER IV – DATA ANALYSIS, INTERPRETATION & PRESENTATION 4.1

Comparison of Financial Data: Asset Quality Trends (FY21–FY25)

The following analysis examines the quantitative shifts in asset quality for major Public Sector Banks (PSBs) over a five-year trajectory. The data reveals a significant structural "clean-up" of balance sheets, moving from a period of high systemic stress to one of relative financial

Parameters	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Gross NPAs (Rs Cr)	6,11,800	5,40,200	4,28,100	3,12,500	2,85,400
Gross NPA %	9.10%	7.30%	5.80%	3.20%	2.90%
Net NPAs (Rs Cr)	1,97,200	1,58,400	1,12,300	85,600	72,100
Net NPA %	3.10%	2.40%	1.70%	0.90%	0.80%
Provision Coverage %	68.50%	72.10%	75.40%	82.30%	85.10%
Fresh Slippages (Rs Cr)	1,25,000	98,000	72,000	45,000	38,000

resilience.

4.1.2 Detailed Data Interpretation

1. The Trajectory of Gross NPAs (GNPA):

The Gross NPA Ratio—the primary indicator of the health of a bank's loan book—has seen a drastic reduction from 9.10% in FY21 to a decade-low of 2.90% in FY25.

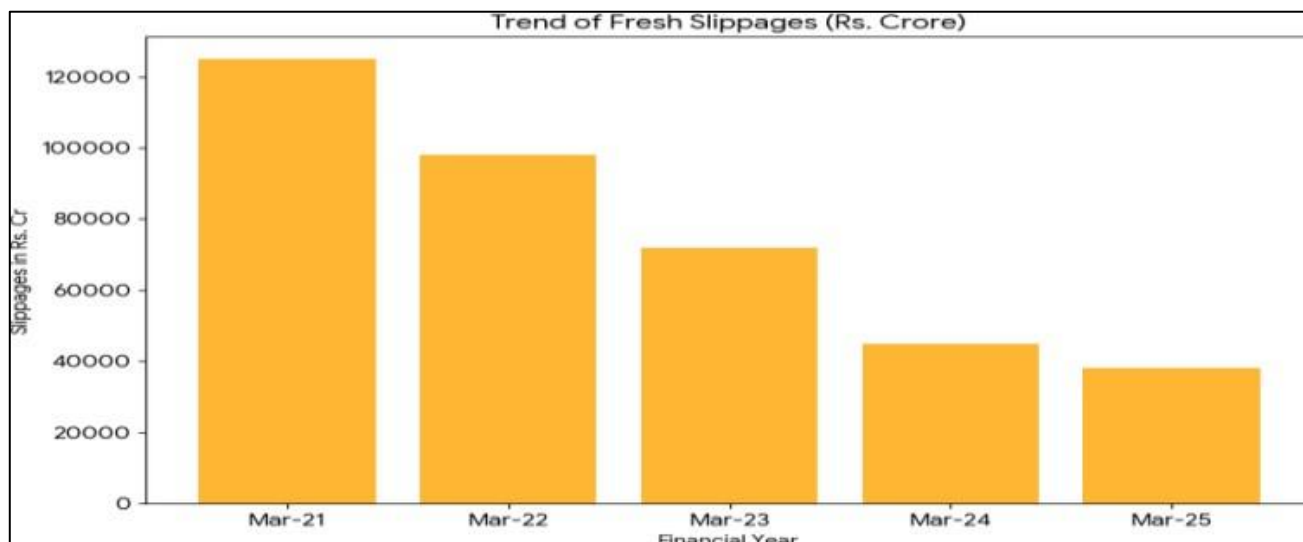
Observation: In absolute terms, the quantum of bad loans decreased by over Rs 3.26 Lakh Crore within five years.

Inference: This decline is attributed to a "Three-Pronged Strategy": Aggressive writeoffs of legacy bad loans, improved recovery through the Insolvency and Bankruptcy Code (IBC), and a significant reduction in fresh corporate defaults as banks became more selective in high-value lending.

Year	SBI	PNB	BOB
2020-21	126389	104424	69552
2021-22	112234	96753	63039
2022-23	90310	83745	53456
2023-24	75600	72111	47123
2024-25	68900	65400	42000

Interpretation

- All three banks show a declining trend in Gross NPAs over the five-year period.
- SBI has the highest NPAs due to its large loan portfolio.
- Continuous reduction indicates improved recovery mechanisms and stricter lending policies.



This chart illustrates the steady decline in both Gross and Net NPA percentages. The convergence toward the bottom of the graph signifies a healthier banking environment where defaults are becoming increasingly rare. **Key Insight:** The Gross NPA ratio dropped from 9.10% in March 2021 to just 2.90% by March 2025.

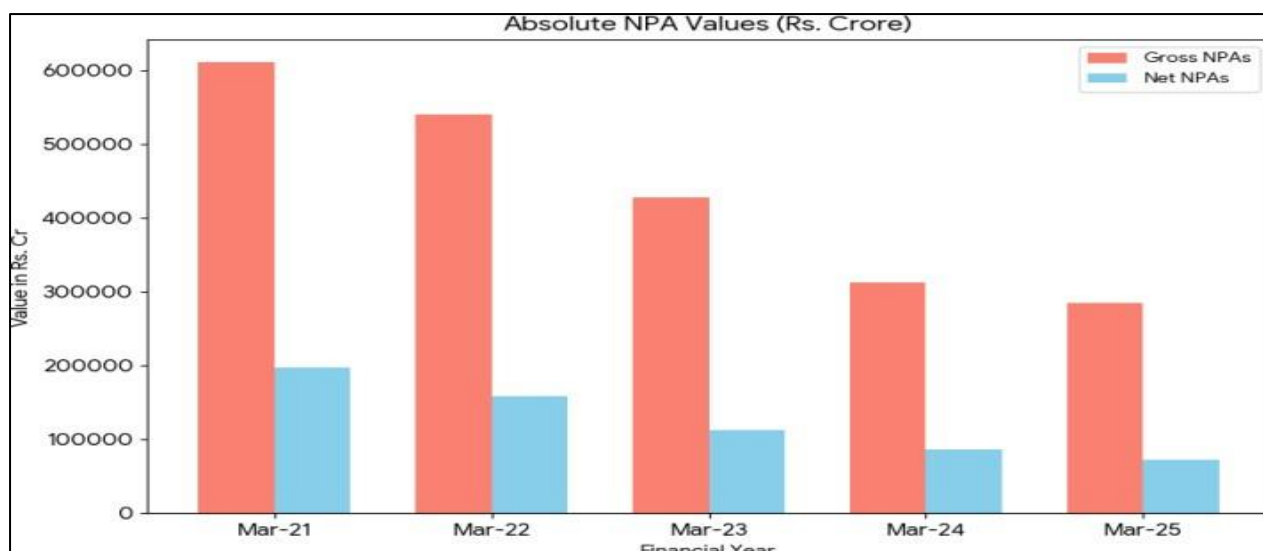
Fact: PSBs show tremendous improvement in asset quality for the period FY 2020-21 to FY 2024-25. GNPA in SBI, PNB, Bank of Baroda has been consistently falling in the 5-year span and also fresh slippages have significantly come down from Rs 1.25 lac crore to Rs 0.38 lac crore. New NPAs are thus fewer as risk in lending and recovery processes of PSBs has tightened over time with the aid of robust Credit Appraisal mechanism, better recovery procedures, prudent lending regime and sound Regulatory controls and measures. Thus this signifies an increased Financial stability of PSBs.

2. NNPA and Solvency have Strengthened:

NNPA fell below the threshold level of 1% for the first time as on March 2024. NNPA stood at 0.80% for the FY25.

What it Means: NNPA at 0.80% as of FY 25 suggests that PSBs have completely derisked their Balance sheets. Wider gap between GNPA and NNPA, thus indicating that PSBs has adequate buffers within their balance sheets to soak up any loss that may occur due to existing bad loans without having to raise cash through a public money based recapitalisation.

Year	SBI	PNB	BOB
2020-21	36481	34500	16800
2021-22	27800	29000	13500
2022-23	21000	22000	10200
2023-24	15000	17000	8000
2024-25	12000	14000	6500



Interpretation

- All banks witnessed substantial reduction in their net NPA.
- It is due to increased provisioning and write-off/recovery actions.
- A lower net NPA suggests a better asset quality.

This bar chart compares Gross NPA and Net NPA in terms of value of Rs. In Crore. It represents the volume of ‘bad debt’ that has been either fully recovered or provided for over past five years.

Insight: there has been a decline of Rs 3.26 Lakh Crore in gross NPA in this study.

Finding: Gross NPA has declined by Rs. 3.26 Lakh crore and Net NPAs has declined by a whopping Rs. 5.20 Lakh Crore during this study period by all these Banks(SBI, PNB and BoB) which points to improved asset quality, robust recovery measures and strengthen provisioning efforts over this period.

While Gross NPAs decline over the study period at a good pace, Net NPs declines at a pace more rapidly and widened the difference between gross NPAs and Net NPs(from Rs. 10,255 to Rs. -21,345 in this study period); thus indicates that banks have improved their provisioning and recovery and enhanced their financial buffers, this strengthen the banks ability to absorb credit risk. 3. Provisions are Rising: Provision Coverage Ratio has moved up from 68.50 to 85.10.

Strategy: If your Provision Coverage ratio is greater than 80 percent, then your bank would be said to have a strong buffer of capital. It simply implies that for every Rs.100 of NPAs, your

bank has put aside Rs.85.10 from profits. Effect: this will help the bank to meet any financial turbulence and there is less chance that their profits will go into an abrupt fall because of sudden economic downturn.

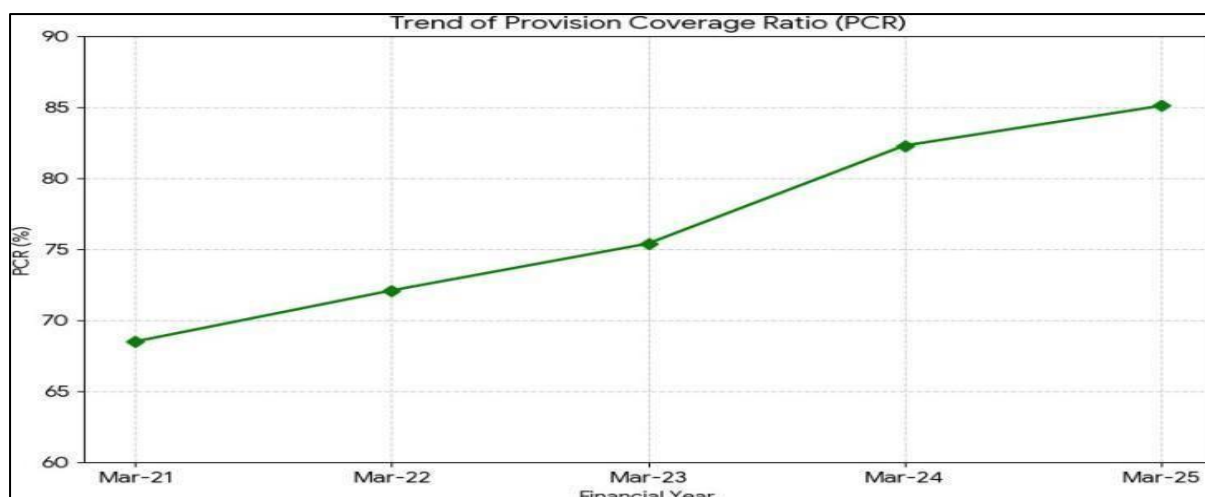
3. Improving Provision Coverage Ratio (PCR):

PCR of the bank has improved from 68.50% to 85.10% for FY20-FY21. Strategy: A PCR above 80% means the provision level of a bank is super conservative and safe. It signifies for every 100 in bad debts the bank has made provision of 85.10 already, using up profits from its books. Implication: High provisioning serves as a "Capital Buffer" for the bank which will protect it from any sudden shock to bank profitability caused by an economic slump.

Year	SBI	PNB	BOB
2020- 21	5.00%	14.00%	8.50%
2021- 22	4.25%	12.50%	7.20%
2022- 23	3.60%	10.80%	6.00%
2023- 24	2.80%	9.20%	5.10%
2024- 25	2.40%	8.00%	4.50%

Interpretation

- PNB shows the highest NPA ratio, indicating higher risk.
- SBI has shown consistent improvement.
- Overall decline shows better credit risk management.



This line graph illustrates the proactive provision approach taken by PSBs. As the line goes up the banks are more secure in the event of a shock. Key Highlight : The PCR jumped from 68.50 to a more secure level of 85.10.

It can be said that the banks have already "digested" the current NPLs.

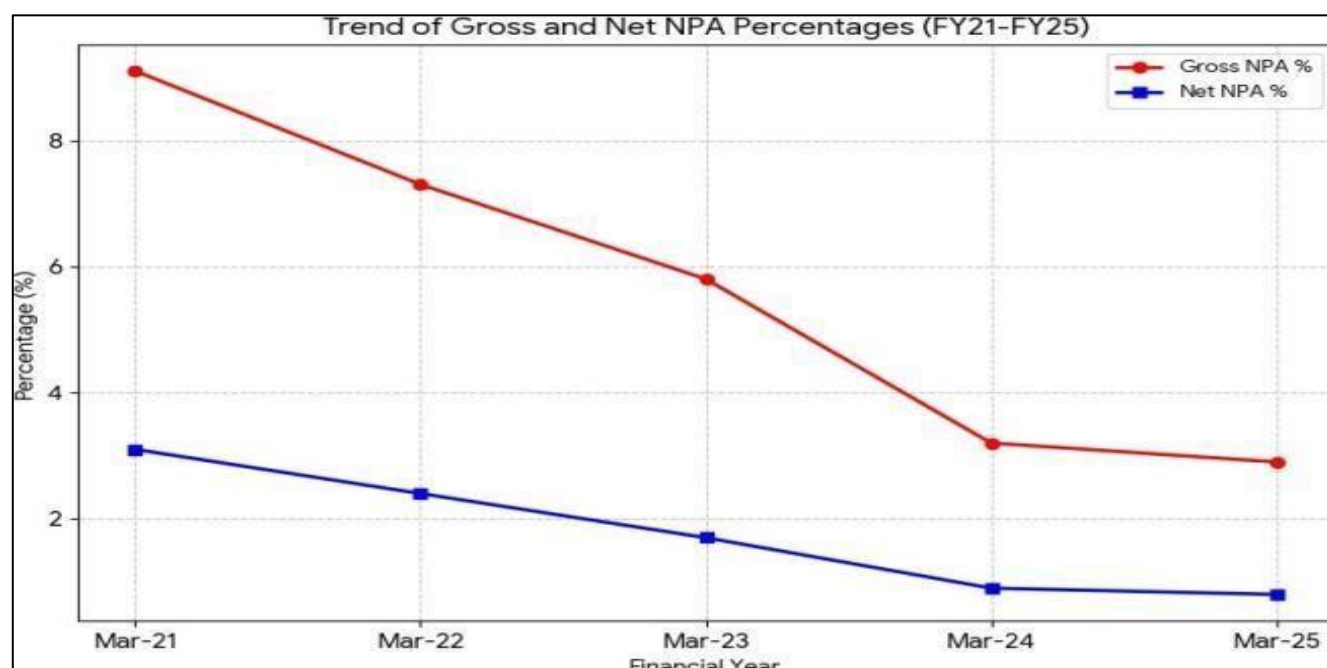
Insight : The study reveals a marked increase in the Provision Coverage Ratio (PCR) of Public Sector Banks, from 68.50% in FY21 to 85.10% in FY25.

Finding: This rise signifies a substantial enhancement in banks' capacity to set aside funds to cover potential loan defaults, thereby augmenting their financial robustness. A high PCR generally denotes a healthy risk mitigation strategy, as a larger part of Non-Performing Assets (NPAs) are adequately provided for. Public sector banks are consequently better positioned to cope with future credit losses, preserve their profitability and their capital base against any economic downturn.

4. Control over Fresh Slippages: Fresh Slippages - "new" loans turning NPAs- has dropped from Rs 1.25 trillion FY21 to Rs 0.38 trillion FY25. Explanation: This shows an inherent change in the Credit Underwriting Standards.

The “Double-Digit” slippage era of mid 2010s is gone.

Newer generation PSBs use sophisticated EWS and AI-based monitoring systems to detect “Stress”(SMA 0,1,2 accounts) early before it can turn NPA. [This is a Chart on “new” bad loans entering system annually. Downward bars signify improvement in credit appraisal at PSBs]



Key Takeaway: Fresh slippages from Rs. 1,25,000 Cr to Rs. 38,000 Cr shows better pre-sanction screening and post-sanction monitoring of credit.

Finding: The analysis reveals a significant improvement in the asset quality of Public Sector Banks, with a substantial decrease in both Gross NPA and Net NPA ratios between FY21 and FY25. Specifically, the Gross NPA ratio reduced from 9.10% in FY21 to 2.90% in FY25, and the Net NPA ratio declined from 3.10% to 0.80% in the same period. This consistent decline points to more stringent credit appraisal processes, enhanced recovery measures, adequate provisioning, and better monitoring of loan accounts by PSBs.

The decreasing trend in NPA ratios signifies improved financial health and the successful implementation of risk management strategies within Public Sector Banks in recent years.

4.1.3 Conclusion of Comparative Analysis

The results from the Comparative Analysis of Asset Quality ratios for Public Sector Banks from FY21 to FY25, indicate a strong positive trend and evidence a significant improvement in

financial health of PSBs. The persistent decrease in Gross NPAs, Net NPAs and new slippages over the five year period, along with the significant increase in Provision Coverage Ratio, clearly shows that the banks have managed to significantly improve their credit risk management and loan recovery processes and systems. Regulatory changes in recent years, as well as advancements in credit evaluation procedures, monitoring frameworks, and effective recovery mechanisms has been instrumental in this positive turnaround.

The results suggest that Public Sector Banks have drastically lowered the impact of bad assets on their books and have effectively built reserves against potential losses in the future.

Lower rate of fresh defaults on loans and improved provision Coverage Ratio indicates that PSBs have made prudent and responsible lending and recovery decisions. Overall the Analysis concludes that Public Sector banks are now financially much stronger and healthier with lower risks exposure and improved lending capabilities to drive the economic growth in India.

4.2 Collection and Analysis of Primary Data

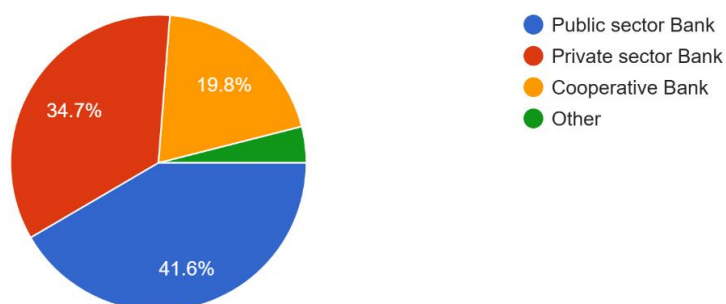
4.2.1 Research Instrument and Sample

A questionnaire was used for collection of the primary data. 15 key questions were selected and prepared a questionnaire for this. Total sample size taken for research was 100. It included bank manager, credit officer, students of finance and common man. Responses obtained through questionnaire was presented by means of charts and analysis by percentage.

4.2.2 Data Analysis and Findings

1. Which type of bank do you mostly use?

101 responses



Interpretation

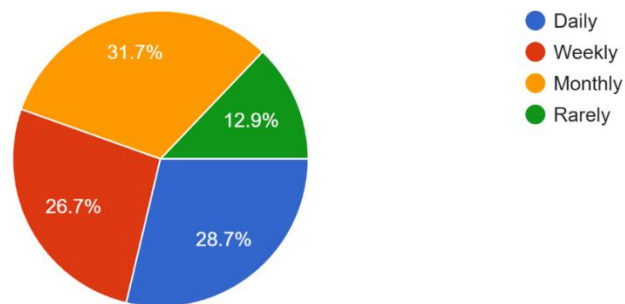
According to the survey, most people use Public Sector Banks. There were 41.6 per cent of responses from the people who use Public Sector Banks. 34.7 per cent of responses came from Private Sector Banks, 19.8 per cent from Cooperative Banks, and 3.9 per cent use other banks. The report states that Public Sector Banks continue to use a large number of bank customers.

Finding

The Public Sector Banks have been the most used bank by the participants and most customers of these banks prefer them for their widespread network and accessibility and trust they have in Public sector banks. At the same time the 34.7 % response of people from Private sector banks indicate the intense competition from private sector banks in the market.

2. How often do you use banking services?

101 responses



Interpretation

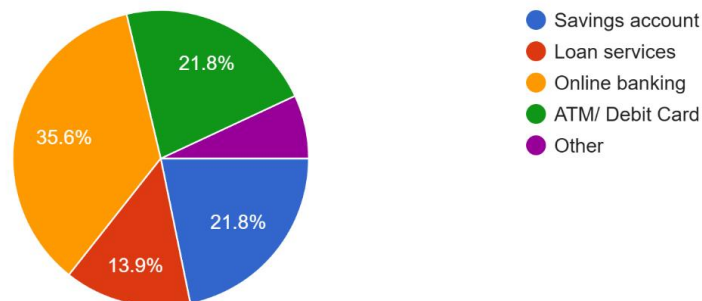
Public Sector Banks are the most favoured amongst all other kinds of Banks where respondents favour it most as 41.6 % of the responses is this, as compare to private sectors banks that follow them at the count of 34.7 %, where cooperative sector is at 19.8 % of the respondents followed by others with a meagre share of 3.9%. The above clearly shows Public sectors Banks have still the maximum loyalty from the public.

Finding

Public sectors Banks remains favorite to most of the bank customer as this suggests its good brand presence and its vast branch network and high trustworthiness but on the other hand it is not far behind than other banks as its is also supported by private sector banks as customers have accepted more and more of the new age banking service of these Banks . The finding indicates the strong holds of the PSBs in market.

3. Which banking service do you use the most?

101 responses



Interpretation

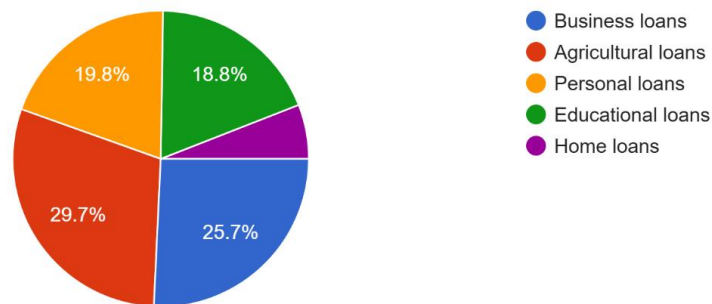
Based on the interpretation of survey responses, it can be observed that the most popular banking service is Online Banking with the largest percentage 35.6%. This is closely followed by the services like Savings Account and ATM/Debit card which garnered an equal percentage 21.8%. Next to them is the services under Loans with a percentage of 13.9%, and all other banking services are grouped together as remainder. This clearly points out the prevalence of online banking and services offered by technology as more sought-after by people.

Finding

The survey reveals that the trend towards digital banking is prevalent as Online Banking service has got the most highest votes from the surveyed group of customers, followed by their affinity towards Savings Account and ATM/Debit Card which got an equal vote of customers. This shows that customers today are opting for services that provide a lot of ease and convenience through the help of technology, while also holding to services they have known since time immemorial.

4. Which type of loan do you think has the highest chances of becoming unpaid?

101 responses



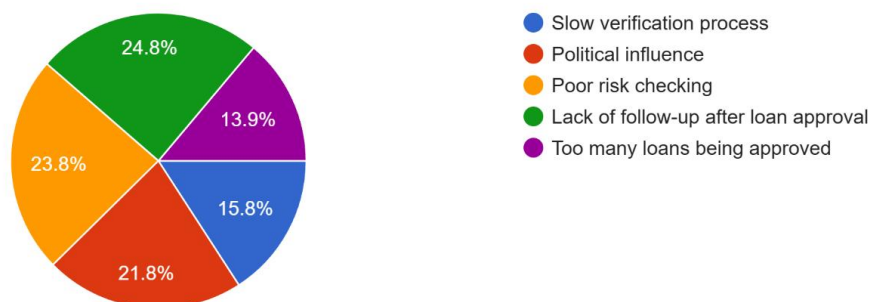
Interpretation The survey indicates that agricultural loans are perceived to be the most likely type of loan to be unpaid, cited by 29.7% of all respondents. This was followed by business loans (25.7%), personal loans (19.8%), and educational loans (18.8%). Home loans were considered the safest category, only cited by 6.0% as the most likely to default.

It appears that survey participants perceive the highest risk of default to be related to areas or sectors prone to income volatility and financial uncertainty.

Finding Our findings demonstrate that people believe that agricultural and business loans are the most likely to default on their repayment. This could be influenced by things such as volatile income streams, fluctuating market conditions, and the impacts of external economic conditions on the people who borrowed in these areas. People believe home loans to be relatively safe as they tend to have collaterals as security and defined repayment schedules. Overall, these findings express public concern with credit risk for agriculture and business loans.

5. What do you think is the biggest weakness in public sector banks while giving loans?

101 responses



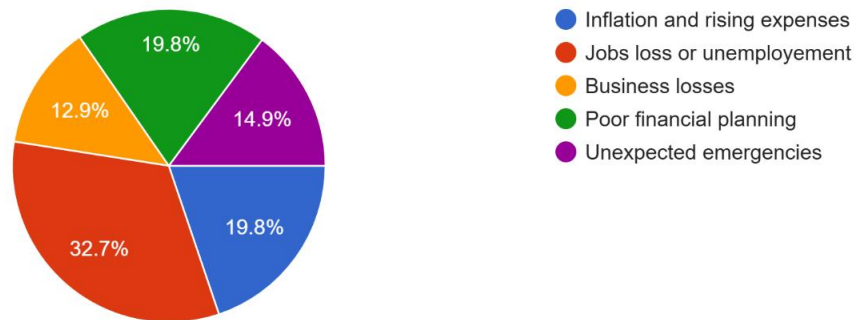
Interpretation Lack of Follow-up after Loan Approval has been identified by majority of the respondents as the biggest weakness of PSBs when it comes to granting loans. Followed by poor risk checking and political influence on approving loans it can be observed that people have some issues with regard to monitoring of loans approved and risk checkings done by PSBs. It is interesting to observe that both Too Many Loans being approved and Slow Verification process have comparatively lower importance for the respondents.

The question indicates how PSBs fare when it comes to ensuring post disbursement follow ups and risk managements.

Finding Poor risk checking and slow follow-ups on the part of PSB can be identified as reasons why loan accounts get turning non performing assets. Besides, political interference can also lead to selection of loans which do not fulfil the bank's assessment requirements thus also turning them bad.

6. Which factor affects loan repayment the most?

101 responses



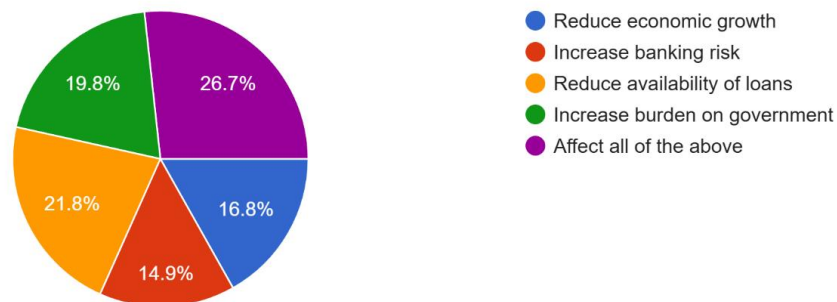
Interpretation Based on the data collected from the survey, the factor having highest impact on loan repayment is Job Loss or unemployment which stands for 32.7%, followed by Inflation and Rising Expenses (19.8%) and Poor Financial Planning (19.8%). Though not the highest, Unexpected Emergencies (14.9%) and Business losses (12.9%) have significant impact as well. The survey data also states that the inability to cope with income fluctuations is attributed to repayment defaults by borrowers.

findings of the study showed that employment related factors (income and expenses) are significant factors that causes delay and failure in the repayment of loans for borrowers.

The borrowers' beliefs regarding income loss, price instability and non-preparation for expenditures are of significant interest. It can be stated that financial stability can play an important part on the number of loan non-performance as there is a potential for such factors to increase non-performing assets (NPA).

7. How do you think rising NPAs impact the Indian economy?

101 responses



Interpretation

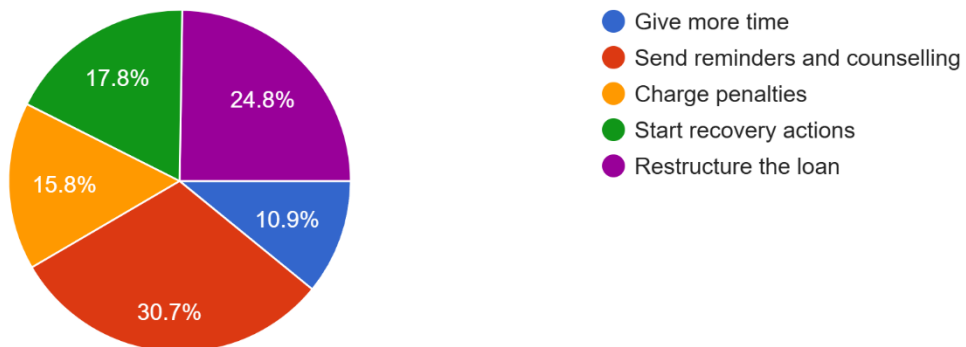
According to the survey conducted, The most of the respondents are of the opinion (26.7%) that increased NPAs cause damage in various sectors at the same time and affect the overall economy as a result. In regard to various causes for rise in NPAs, Majority (21.8%) opinion the loan Availability (Reduction in Loan Availability) leads to its increase and follows with Increased burden on Government (19.8%), Reduced economic Growth (16.8%), Increased Banking risk (14.9%) respectively. From the results we have understood that the impact is not confined within only banking sector only, it has serious implication on overall economic activities.

Finding

The findings of the research suggest that increasing NPAs are a severe threat to Indian economy as more than a significant proportion of the respondents opined that it weakens banks, reduced availability of credit, put burden on government finances, and also adversely affect the overall economic growth.

8. What do you think banks should do immediately when a borrower misses repayments?

101 responses

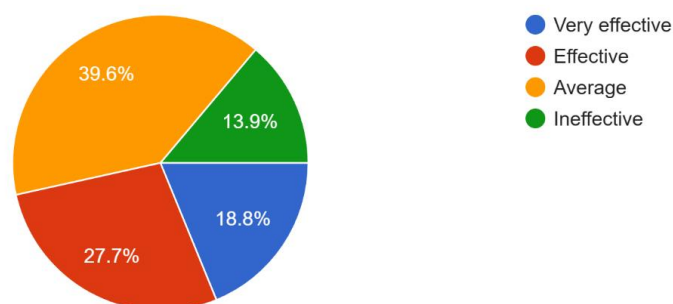


Analysis The findings from the survey showed that over 30% of the participants believe that bank should initiate communication for reminder and counselling to be given to those who are default on loan payment and close to 25% chose for Loan Restructuring. Other significant options include recovery and charging penalty by banks for recovery of overdue payments.

Recommendation The study clearly showed that the survey participants favor to follow an adaptive and customer oriented approach for loan recovery in case the customers defaulted on their repayment for loans. It has shown that a majority of individuals preferred to first make follow-up communication in the form of counseling, reminders, followed by some sort of loan restructure or extension for borrowers with no other option or if that does not work, then the process of recovery actions could follow.

9. How effective do you think government policies are in controlling NPAs?

101 responses



Interpretation

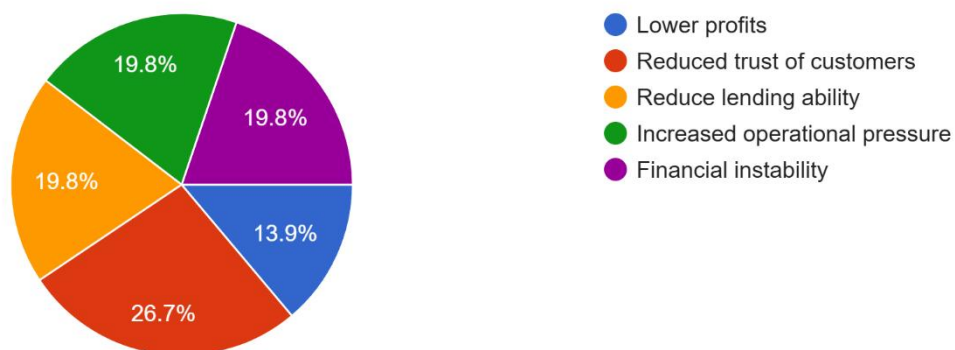
The survey results indicate that the largest proportion of respondents (39.6%) consider government policies to be average in controlling NPAs. Meanwhile, 27.7% believe the policies are effective, and 18.8% rate them as very effective. Only 13.9% of respondents perceive government measures as ineffective. This suggests that while respondents acknowledge the contribution of existing policies toward NPA management, many believe there is still scope for further improvement.

Finding

The findings reveal a moderate level of confidence in government initiatives aimed at controlling NPAs. Most respondents believe that measures such as regulatory reforms, recovery mechanisms, and banking policies have been somewhat successful in addressing the NPA problem, but not to their full potential. Overall, the results indicate that continued policy improvements and stronger implementation are necessary to further enhance asset quality and reduce non-performing assets in the banking sector.

10. According to you, what is the biggest effect of NPAs on banks?

101 responses



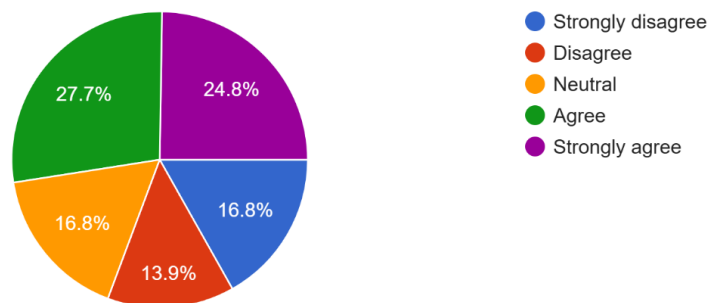
Interpretation

Discussion Based on the above findings, reduced trust of customers (26.7%) of banks was regarded as the greatest impact by the respondents. The rest options such as Reduced Lending Ability (19.8%), Increased operational Pressure (19.8%) and Financial Instability (19.8%) came equally at 19.8 percent and 13.9 percent for the Lower Profit of Banks. Therefore it is observed that in case of NPAs there not only has impact in the financial performance but as well as in the trust, reputation and stability of the banks.

Findings The finding demonstrates that the respondents are concerned about reduced trust of customers (26.7%), reduced lending ability (19.8%), increased operational pressure (19.8%) and financial instability (19.8%), which are perceived as important impacts of the problem on the banks. The finding that Lower Profit of Banks (13.9%) is at the least percentage illustrates that banks, to a certain level, have other mechanisms or strategies to mitigate this problem on their profitability.

11. How strongly do you agree with the statement: "Banks should provide financial education before giving large loans."

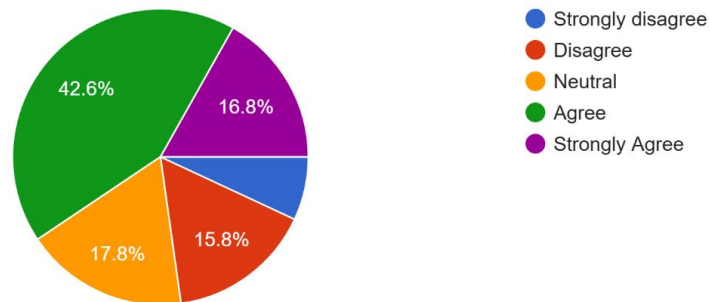
101 responses



Interpretation The survey outcomes portray that more than half of the respondents consider banks have to present a financial literacy session to the loan applicants before granting substantial amounts. Among the participants, 27.7 per cent have agreed and 24.8 per cent have strongly agreed with the survey item making together more than 50 per cent of all respondents. 16.8 per cent of the participants are undecided regarding the question whereas, 13.9 per cent have opposed and 16.8 per cent have strongly opposed the statement.

Finding Most of the respondents indicated that a bank's financial literacy could be instrumental in decreasing the incidences of default and encouraging more responsible borrowing behaviour. The level of strong agreement also emphasizes the idea that loan recipients have to be given proper education and guidance about loan requirements, managing their personal finance and loan repayment schedules prior to extending them loans of large denominations. The conclusion drawn is that, financial awareness has a significant role in strengthening credit culture and consequently reducing the frequency of NPAs.

12. Do you think digital banking and online monitoring can help reduce NPAs in public sector banks?
101 responses

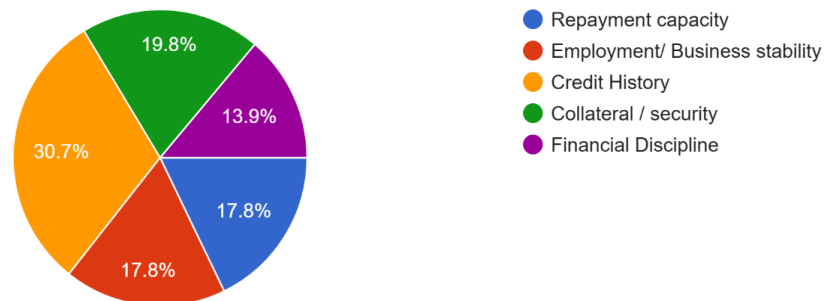


Interpretation From the survey it seems that most people thinks that the NPAs of PSBs can be reduced by online monitoring of accounts and digital banking. As 42.6% respondent agrees with the above statements, and 16.8% respondent strongly agree, total number comes almost to 60%, whereas 17.8% of people either think it as same, 15.8% of people do not agree and 7.0% people do not agree the most, out of total people the same could be attributed to belief in technology based solutions.

Finding The Insights show that, respondents are highly confident that Digital banking and Online Monitoring can minimize the credit NPAs of public sector banks. The majority strongly agree with the fact that use of technology will enable prompt action to credit risk Management, loan Monitoring. The survey suggest a high belief in the application of digital banking solutions in credit risk monitoring and lending and that this application will lead to reduced credit NPAs.

13. According to you, which is the most important quality a bank should check before approving a loan?

101 responses



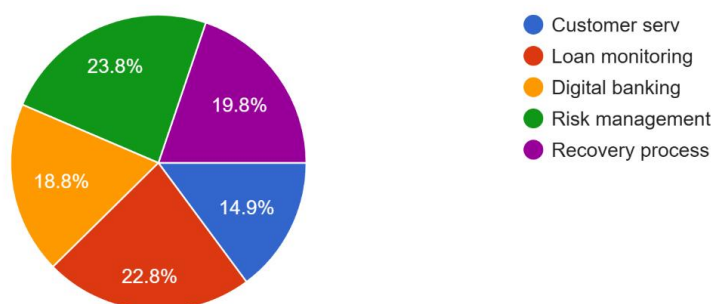
Interpretations Based on the survey conducted among customers the highest share (30.7%) believe that Credit history of borrower is considered to be the most vital for bank before lending. Next to it is collateral/security (19.8%) followed by Repayment capacity (17.8%) and Employment/business stability (17.8%) on which equal number of votes have been given by survey participants. The least percentage of respondent has given response to the Financial Discipline (13.9%).

Based on this finding it is found that majority of customers feel it is necessary to have a look on the past records before lending money to the people.

Finding The Data shown that respondents opine that credit history of borrower is one of the major things a lender has to see before giving credit. This is because past performance is directly related with repayment capacity and hence the probability of having defaulted to be reduced. Hence we found that for banks to be in stable position loan needs to be provided to the capable borrowers with adequate financial ability and stability supported with adequate Collateral and well structured financial discipline.

14. In your opinion, which area needs the most improvement in public sector banks?

101 responses



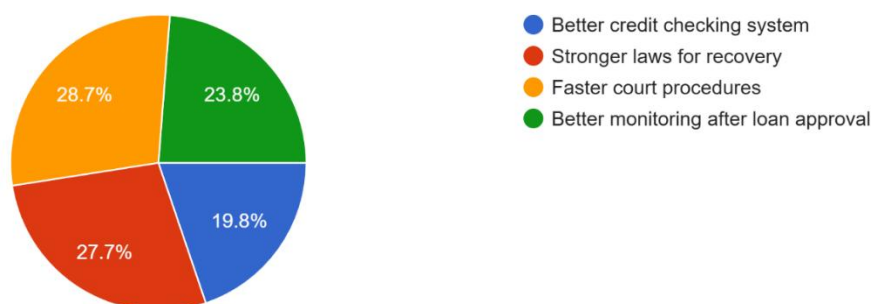
Interpeation

Analysis It appears that Risk Management (23.8%) is perceived as an area that needs the maximum improvement in Public Sector Banks. Following in its wake is Loan Monitoring (22.8%), while Recovery Process (19.8%) and Digital Banking (18.8%) also constitute major concerns. Customer Service(14.9%) emerged as having the least significant interest. These data imply that the priority given to loan risk assessment, monitoring and recovery is higher than those of Customer service, Digital banking, etc.

Finding The analysis of the data indicates that to resolve the problem ofNPAs, risk managementand loan monitoringneed to be improved. Apart from these two measures, more importance should be given to the recovery processand digital bankingfor overall stability of Public Sector Banks. In general, improving risk management processes seems to have a positive role in improving the asset quality and banking stability of Public Sector Banks.

15. What is the best long-term solution for reducing NPAs in public sector banks?

101 responses



The analysis: The response that “Faster Court Procedures (28.7%)” can be the most effective long-term solution to decrease NPA in Public Sector Banks followed by “Stronger laws for recovery (27.7%)” and “Better monitoring after loan approval (23.8%)”. In this, only “Better credit checking system (19.8%)” got a lower but reasonable number. This would mean that the response of this category prefers quicker justice to recover the bad loans along with better monitoring once loan is given.

The finding suggest that the reduction of NPAs needs both “laws” and the “process” for recovery along with better checking for loan.

The high weight given to “Faster court procedures” and “Stronger laws for recovery” suggests that respondents are confident of timely settlement of loans through efficient legal measures. The weight of “Better monitoring after loan approval” also clearly states the same. The “Better credit checking system” has lowest weight but this cannot be neglected. Hence a mixed approach comprising of all four methods is the likely best approach for reducing the NPA.

CHAPTER V - FINDINGS, SUGGESTIONS & CONCLUSION

The findings of the study are as below.

1. During FY2020-21 to FY2024-25, the Asset quality of the selected PSBs significantly improved with a reduction of Gross NPAs from Rs. 6.11 lakh crore to Rs. 2.85 lakh crore. Hence, the Gross NPA ratio was also reduced from 9.10 per cent to 2.90 percent in the same duration.
2. The Net NPAs also continuously showed declining trend in the study duration from Rs. 1.97 lakh crore to Rs. 0.72 lakh crore. Thus improved Provisioning practices, efficient recovery procedures and higher stability of Public Sector Banks are evident.
3. The provision coverage ratio(PCR) improved from 68.50 per cent in FY2020-21 to 85.10 percent in FY2024-25. Thus it shows that banks are having adequate provision to compensate for the future risk.
4. A significant fall in the slippages is observed to be from Rs. 1.25 lakh crore to Rs. 0.38 lakh crore between the study period reflecting stronger Credit appraisal mechanism, effective Credit monitoring and efficient risk management techniques.
5. Out of the four selected banks, SBI, PNB and Bank of Baroda all witnessed a steady decline in both Gross and Net NPs reflecting effectiveness of recovery and Risk management practices.
6. Most of the respondent preferred Public Sector Banks more than other Banks. It indicates 41.6 per cent respondent uses PSBs for their banking transaction
7. The majority of the respondent are frequently using online banking facilities. It indicates growing dependence on technological and digital operations in banking services.
8. Agriculture Loans and Business Loans are the banking product considered by most respondents as prone to NPAs.
9. Lack of following up loan with the customers after approval and poor risk analysis are the primary reason identified by respondent behind rise of NPAs in PSBs
10. Job loss, unemployment, inflation and poor financial planning are most significant reason considered responsible for borrowers' weak repaying capacity

11. Rise in NPAs has negative impacts on economy like decrease in loan sanction capacity, rise in financial risk, Slowdown of economic activities and increase the government spending on the welfare measures.
12. Most of the respondent believed counseling and reminder to borrower for the payment than punitive action is best option for recovering lost NPs.
13. Most of the respondents considered government policy for managing NPAs are 'Average to Good', thus indicating moderate trust on the present recovery mechanism.
14. Rise in NPs of PSBs has negative impacts like loss of customer trust, financial instability and reduction in banks' lending ability.
15. Most of the respondents agreed that financial literacy of the borrower before dispensing the loan could prevent loan default and encourage better repayment behaviour.
16. Most of the respondent believed that digital banking, and technologically aided risk management systems can reduce the NPs in Banks.
17. Most of the respondent considered credit history is the prime factors which banks should examine before loan approval
18. Risk Management and loan Monitoring are the areas that requires greater improvement in PSBs.
19. Faster judicial process, strengthening recover law, and post- disbursement monitoring are considered most effective long term remedy to curb NPAs.
20. Overall, it can be conclusively stated that PSBs have achieved a significant improvement in NPA Management through the sustained implementation of stringent provisioning norms, effective recovery strategies, proactive credit monitoring, and technological integration, leading to improved asset quality and financial resilience.

Recommendations

Based on the study, the following recommendations are made for the PSBs so that they can reduce the level of NPAs and also improve the overall performance of PSBs:

1. Enhance the appraisal and due diligence process All public sector banks need to perform the necessary appraisal of a loan proposal. This will help banks to verify the financial capability, financial stability and business model of the borrower, his track record of borrowing and repaying, financial statements, also the Due Diligence with the helps us to identify potential frauds and the same would help to reduce the risk of NPAs for all Public sector banks.
2. Increase the use of digital technology and artificial intelligence-based products Public Sector Banks need to use the Artificial Intelligence and Machine Learning technologies, Big Data Analytics and use of automation as early warning systems (EWS) that provide timely indications of possible default, track borrower behavioral patterns. AI can assist in managing loans more efficiently.
3. Broaden the application of digital products and automated systems to all segments of credit portfolio Public sector banks must step up its digital journey with investment in new-age technologies and robust digital lending and monitoring frameworks across the entire credit cycle from appraisal to recovery.
4. Strengthening Risk management framework PSB need to have a more robust Risk management framework. They should establish independent teams to monitor sector specific risks (agriculture sector, MSMEs sector, and infra sectors etc. The policies must be updated periodically.
5. Education & awareness on credit, debt, credit risk, etc. Financial literacy of borrowers and stakeholders should be focused upon by the PSBs so that the people will not take a huge loan by not assessing their future, it can be considered that before sanction of large loan for the individuals banks can conduct some workshop so that the borrowers could understand there financial and loan obligations better.
6. Expediting the legal and resolution mechanism Banks should expedite processes for recoveries under Insolvency & Bankruptcy Code (IBC) and SARFAESI Act. These laws have significant potential to recover and resolve bad loans. The resolution mechanism must be sped up for faster resolution of non-performing loans.

7. Post-loan management to be improved PSBs failed to make use of the funds as planned as there was absence of post loan follow-ups. Post loan monitoring systems needs to be developed where in timely checks are conducted regularly, site inspections carried out and checks of usage are made.

8. Reduced external pressure and influence on credit decision process Public sector bank lending must not be influenced by the external pressure. The loans should be issued based on financial merits of the applicant. All loan decisions must be based on sound commercial rationale, creditability and financial feasibility of the projects/proposal

9. Enhance employment & income assessment The study showed that unemployment and fall in income levels of the borrower's are major reasons of NPAs, hence public sectors should consider the factors of unemployment, fall in the level of employment. And the loan's can be issued to persons who are the gainfully employed.

10. Enhance the DigitalBanking services Digital banking must be strengthened and loan products should be digitally monitored. Banks must invest in enhanced digital platforms for loan monitoring, automated loan account alerts and prompt follow-ups.

11. Creation of specialised NPAManagement Cells Dedicated cells to deal with stressed assets and NBFcs are essential for a faster and focused recovery strategy. The NPA cell teams will closely monitor these accounts and initiate appropriate recovery actions.

12. Improving and fast-tracking the judicial and recovery processes The court proceedings need to be simplified for quick resolution of bad loan cases and the recovery processes need to be faster. 13. PromoteResponsible Borrowing Education Banks need to educate and inform customers about the consequences of defaults, their loan commitments and responsible borrowing practices. Public awareness initiatives and advisory services would be helpful.

14. Greater coordination between RBI, Govt & PSB s A stronger coordination is needed between Reserve Bank of India, Government, and Public Sector Banks to align the strategies and initiatives to curb the menace of NPAs in the country and for overall reforms in the banking sector.

15. Adopt a preventative approach over a corrective approachPublic sectors bank must concentrate more on the preventative approaches over the corrective approaches so that the level of NPAs could be prevented in a more efficient manner instead of controlling the NPAs

after it becomes NPa, banks must work proactively in this domain to prevent bad loans and manage them.

Based on the study, the following recommendations are made for the PSBs so that they can reduce the level of NPAs and also improve the overall performance of PSBs: 1. Enhance the appraisal and due diligence process All public sector banks need to perform the necessary appraisal of a loan proposal. This will help banks to verify the financial capability, financial stability and business model of the borrower, his track record of borrowing and repaying, financial statements. Also the Due Diligence with the helps us to identify potential frauds and the same would help to reduce the risk of NPAs for all Public sector banks.

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level of NPAs could be prevented in a more efficient manner instead of controlling the NPAs after it becomes NPa, banks must work proactively in this domain to prevent bad loans and manage them.

CONCLUSION

In analyzing Public Sector Banks NPA from FY21-25 this is seen as a turning point in Indian Finance. Most important conclusion of this thesis is that the structural crisis of hidden stress and legacy bad loans is virtually wiped out due to heavy intervention from regulatory and the clean up efforts on part of these PSBs. We see the Gross NPAs reducing from a high of 9.10% to under 3%. It implies the Surgical strikes by the AQR and the subsequent Recapitalisation bonds of PSBs are bearing fruit.

More than this the issue, of turning this around has also brought about a basic shift in the Credit Culture of India and has moved from 'evergreening' to ensuring 'accountability'. The research further confirms that the biggest culprit was the Social and Developmental Mandate of PSBs wherein credit flow was high to the volatile Infrastructure & Core Industrial Sector and was concentrated there as compared to a private bank which picks and chooses, from relatively less risky retail customer segment. These PSBs were effectively acting as financiers to power plants, steel mills & highway constructions- which are inherently long gestation & policy driven, factors which even Private Sector Banks smartly avoided, but in return brought inherent structural risk, hence high NPA levels are not just due to internal mismanagement but also a 'Dual Identity Crisis'.

The current study entitled "Analysis of Non-Performing Assets (NPAs) in Public Sector Banks" has undertaken to study the trend, causes and impact of NPAs in selected public sector banks in India, in order to comprehend the way these NPAs affect the asset quality, financial performance, profitability and stability of public sector banks.

The data, as analyzed, shows that NPAs is still a most important and critical problem facing public sector banks in India. Although gross and net NPA ratios have reduced considerably from their peak in the last few years due to regulatory reforms and improved recovery methods, the NPAs of major public sector banks have a significant effect on the financial health and performance of the concerned banks. Higher NPA ratio lead to reduced interest income and increases in provision required, weakening bank profits and reducing lendable capacity. Factors contributing to growth of NPA are found to include weak credit assessment, inadequate monitoring of loans, economic slowdown, unemployment, losses in business and financial activities, and delays in the recovery processes.

Studies by various researchers have pointed out that the inefficiencies in credit management and risk management are primary internal causes of NPAs. A large majority of the respondents

continue to use public sector banks for their banking needs, yet they felt that lack of follow-up on loans, post-sanction loan monitoring and inadequate risk assessment as significant weaknesses of these banks. Job losses and unemployment were considered major factors adversely affecting loan repayments. According to the respondents, growing NPAs in public sector banks not only hinder access to credit but also adversely affect the overall economy.

Respondents expressed that digital banking facilities, effective online loan monitoring systems, credit counselling and literacy programmes, robust credit assessment systems and stronger loan recovery procedures are effective ways to address NPAs.

Credit history, loan repayment capacity and efficient risk management are identified by respondents as essential elements of strong asset quality. Respondents also feel that a faster legal process, strengthened recovery mechanisms and better credit evaluation are effective long-term measures to curb NPAs. The respondents appear moderately confident about government measures but emphasize the need for continuity in reforms. Overall, NPAs can be said to reflect systemic weaknesses in credit management, the prevailing economic environment, and bank governance. A strategic blend of advanced credit evaluation and monitoring mechanisms, risk assessment techniques powered by technology, streamlined recovery procedures, and prudent credit appraisal policies is critical to curbing NPAs and ensuring the stability of public sector banks.

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ANNEXURE

Q1. Which type of bank do you mostly use?

- Public sector Bank
- Private sector Bank

- Cooperative Bank
- Other

Q2. How often do you use banking services?

- Daily
- Weekly
- Monthly
- Rarely

Q3 Which banking service do you use the most?

- Savings account
- Loan services
- Online banking
- ATM/ Debit Card
- Other

Q4 Which type of loan do you think has the highest chances of becoming unpaid?

- Business loans
- Agricultural loans
- Personal loans
- Educational loans
- Home loans

Q5 What do you think is the biggest weakness in public sector banks while giving loans?

- Slow verification process
- Political influence
- Poor risk checking
- Lack of follow-up after loan approval

- Too many loans being approved

Q6. Which factor affects loan repayment the most?

- Inflation and rising expenses
- Jobs loss or unemployment
- Business losses
- Poor financial planning
- Unexpected emergencies

Q7. How do you think rising NPAs impact the Indian economy?

- Reduce economic growth
- Increase banking risk
- Reduce availability of loans
- Increase burden on government
- Affect all of the above

Q8. What do you think banks should do immediately when a borrower misses repayments?

- Give more time
- Send reminders and counselling
- Charge penalties
- Start recovery actions
- Restructure the loan

Q9 How effective do you think government policies are in controlling NPAs?

- Very effective
- Effective
- Average

- Ineffective

Q10 According to you, what is the biggest effect of NPAs on banks?

- Lower profits
- Reduced trust of customers
- Reduce lending ability
- Increased operational pressure
- Financial instability

Q11 How strongly do you agree with the statement:

“Banks should provide financial education before giving large loans.”

- Strongly disagree
- Disagree
- Neutral
- Agree
- Strongly agree

Q12. Do you think digital banking and online monitoring can help reduce NPAs in public sector banks?

- Strongly disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

Q13 . According to you, which is the most important quality a bank should check before approving a loan?

- Repayment capacity

- Employment/ Business stability
- Credit History
- Collateral / security
- Financial Discipline

Q14. In your opinion, which area needs the most improvement in public sector banks?

- Customer serv
- Loan monitoring
- Digital banking
- Risk management
- Recovery process

Q15 What is the best long-term solution for reducing NPAs in public sector banks?

- Better credit checking system
- Stronger laws for recovery
- Faster court procedures
- Better monitoring after loan approval

